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Retailing - Food | Europe

A Prisoner's Dilemma: Too much space, too little demand

The Polish grocery sector continues to pump supply into a falling demand backdrop. As the market digests this core supply/demand imbalance, we think earnings and multiples will be forced to rebase downward, with our average EBIT -9% below Street. We restart coverage with JMT, DNP at Underweight. Zabka at Equal-weight.

Poland's food retail market is transitioning to its next life stage, which requires a change in space/competitive strategy or risks depleting industry margins. Our views are counter-consensus and we see significant earnings risk ahead – we restart coverage with EBIT -9% below Street. We think the market fundamentally misunderstands where Polish food retail sits on the maturity curve. The sector needs to digest a shift away from space-driven growth and towards a more mature backdrop, where focus will be on driving up same store sales densities. We do not expect the process to be smooth. In the near term, there is still a race for space and a classic prisoners' dilemma, whereby no-one wants to be the first to pull back on space growth, because this would risk allowing competitors to gain scale at their expense. Our analysis shows that store pipelines among the Modern 5 are down ~4% since 2022, but a much more significant retraction is needed. At the current pace, we think it's likely we see another -5% contraction in volume sales densities as demand simply cannot keep up with supply.

Market is too bullish on both top line and margins and we see downside over a multi-year period. We expect sales to miss forecasts (we are -3% below Csus on avg in 2028e), both due to space contribution coming down over time, but also due to mature stores generating lower sales than expected, as steep price investments continue and traditional market share funding sources are increasingly exhausted. Returns on capital also appear unlikely to recover to pre-2023 levels, and are more likely to trend further down from here, which leads us to expect further contraction in trading multiples. In addition, Poland faces a structural long-term decline in its population, shrinking ~0.4% pa historically, which directly weighs on volumes, and is only in the early stages of shifting towards digital/omni channel, which will put additional channel mix pressure on margins over time. More near term, we expect another year of intense competition, against a muted demand backdrop (Biedronka back to -3% deflation in its basket as of Q1, industry volumes down -1.4% L3M). Investor narrative is focused on cyclical weakness in volumes / food inflation; however, we think the more pertinent question to ask is – can the market absorb this much capital?

We return to coverage with Underweights on Jeronimo Martins and Dino Polska, and an Equal-weight rating on Zabka; we are materially below Consensus forecasts on all 3. By stock -

MORGAN STANLEY & CO. INTERNATIONAL PLC+

Izabel Dobрева

Equity Analyst

izabel.dobрева@morganstanley.com

+44 20 7677-5006

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Europe

Industry View

In-Line

Exhibit 1 : Summary of our ratings and key estimates vs Csus.

KPI	JMT	DNP	ZAB
MSe vs Csus			
Sales 2028e	(3.4%)	(2.3%)	(1.5%)
EBITDA 2028e	(3.3%)	(9.9%)	(2.5%)
EPS*	(8.7%)	(15.6%)	(7.7%)

Investment view

Rating	Underweight	Underweight	Equal-weight
12m target price	€ 15.50	PLN 23.40	PLN 28.60
Upside/downside at TP	(7.5%)	(17.6%)	5.1%
Csus trading PE	13.1x	15.9x	19.9x

Source: Morgan Stanley Research estimates. *EPS is shown for 2028e for DNP/ZAB and 2027e for JMT due to Csus availability. For JMT we show the EPS on a reported basis, due to meaningful lack of comparability in our definition of underlying EPS vs Csus

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- **Jeronimo Martins:** We think Biedronka (70% sales/ 90% of Group EBIT) is pursuing the right mid-term strategy to defend ROCE and margins. From our perspective, its strategy appears to be to flex its strengths (such as scale economies, balance sheet, payment terms), invest in price aggressively and grab as much volume / space to ensure its relative scale advantage is preserved. In this stage of the food retail life cycle, we would expect to see share concentrating among the top of the pyramid, and we think Biedronka is on track to emerge as the share winner. However all this said, near term we see earnings downside: we think Cssus EBITDA estimates for Biedronka are 6.5% too high by 2028e and valuation multiples are unlikely to recover to 10yr averages. At 12.5x target P/E / 1.5x PEG, we see -8% downside.

Underweight.

- In the case of **Dino Polska**, we see even greater share price downside of -18%, due to our earnings being -16% below Cssus. We think greater price investments are needed, creating margin downside, and we also note that DNP is much more reliant on space growth than Biedronka. We'd estimate ~450bp 5yr avg space contribution to the LfL of DNP from space ramp-up vs ~100bp for Biedronka, and of the overall 3yr sales growth of Cssus, ~70% is from space for DNP vs ~50% for Biedronka. A slowdown in top line is amplified by rapidly growing opex/capex, given increasing fixed costs through store rollout. Last year SG&A was up 19%, D&A was up 23%, against sales growth of 15%. We think mature store margins will likely exit 2028e below those of Biedronka (vs approximately on par currently). From a multiple standpoint, we think Cssus 12m fwd PE of ~16x is high relative to delivered EPS CAGR of ~5% over 2023-25 (ie since market structural dynamics changed in our view), but also relative to our 2028-26e CAGR of ~11%, considering the stock usually trades around ~1x PEG and pays no dividend. **Underweight.**
- Finally, on **Zabka** – we see it as relatively more insulated from these market dynamics given its channel/product mix (though not immune; our sales are still -1.5% below Cssus). Franchisee economics and Romania expansion likely caps operating leverage upside near term and makes the EBITDA margin outcomes range-bound – our forecast of ~12.9% in 2028e is in line with guidance. Zooming in on the balance sheet, we think management actions on debt refinancing/de-leveraging are a key positive, however reverse factoring exposures were up +21% yoy in 2025, with increased total share of payables, which lead us to have a higher risk perception of the stock. Overall our EPS is ~8% below Cssus by 2028e, but at target P/E of ~19x / 1x PEG, we see the stock as around fair value. **Equal-weight.**

Our views in more detail:

Volume growth simply cannot keep up with the level of supply entering the market. Since 2023, space growth has been expanding into a decelerating demand pool, significantly outpacing volume growth. While modern selling space has been growing in the mid SD for much of the past 10 years, historically this has not been a problem, as modern grocery volumes were amplified by share gains from the informal channel – particularly for discounters and the listed group. However, our

analysis shows MDG penetration has now plateaued and traditional channels are increasingly exhausted as a funding source. We think either space growth needs to slow, or volumes need to see a material acceleration. It is difficult to see a catalyst for this, considering market volumes were down -1.7%/-0.4% over 2024/25 when real disposable income growth was up ~6% pa, whereas for 2026-28e is projected to be much lower at 3%-2% by the NBP, accompanied by an elevated savings rate of households. In numbers:

- Selling space in Poland (ie capital invested) by the top 10 "modern formats" has grown with a ~4.5% 10yr CAGR out to 2025, and much of this has come specifically from the Discounter channel (~5% 10yr CAGR, accelerating to ~7% in the last 5 years). Over the same period, industry volumes were up slightly, ~1% pa on average, including benefits from structural trade up in the mix of basket, as customers sought more convenience.
- Volumes across the top "Modern 5" grocers (which we define as Biedronka, Lidl, Aldi, Kaufland and Dino Polska) fared much better than the overall market, as they were amplified by channel rotation and share gains, growing with a ~6% CAGR over 10yrs. The key funding sources have been small local grocers and hypermarkets. In other words, for most of the past decade, volume growth across the key modern formats was sufficient to cover for the growth in invested capital.
- This changed in 2023. Industry space has still been expanding at ~3%-4% pa across modern formats, but volumes have been up only ~2%-3% pa across the top 5, against a broader market backdrop of volumes down -2%. These volume gains were hard won, with an ongoing price war between the key price setters.

Supply has started to come down, but not enough; expansion plans are still budgeted according to pre-2023 structural trends. There were ~570-500 new stores entering the market from the "Modern 5" per year over the last 3 years. The number of net stores has been slowing and is down slightly since 2022, but still needs to meaningfully moderate further to reflect the evolution in market structure. Our analysis shows that if the "Modern 5" wish to keep their sales densities flat (as that is the key driver of ROIC), in aggregate they need to generate ~PLN14bn incremental sales pa or take ~320bp of above-market growth to keep up with supply. We do not think this is realistic, as it implies a pace of share gains which is twice the run-rate of share gains over 2025 which was ~150bp pa. Over the last 3 years deflated sales densities per store are down -4% pa across the Modern 5 as a result. We expect this trend to continue over the mid-term, based on current communicated store opening plans. Key stats:

- Modern grocery penetration in Poland sits at 85% today according to data from Euromonitor, up from 72% in 2018. Mature markets – such as the UK or Ireland – typically peak at ~90%-94% using the same Euromonitor definition of MDG, and the pace of gains beyond 90% tends to be slow. Over the past 3 years, MDG penetration in Poland has been stagnant, compared to a pre-2023 5yr average of ~260bp share gains per year.
- In 2025, Biedronka added 152 stores (down -6% y/y) while Dino Polska added 345 stores (up 22% y/y). Lidl, Kaufland and Aldi together added another ~73

stores. Altogether, across these 5 companies, the market supply is around 570 stores entering the market per year, or ~540 if the levels of supply stay in line with the 3 year average. Running forward this level of supply would imply Poland reaches ~95% modern grocery penetration by 2028e, all else equal. This does not sound plausible, given that Poland already has one of the highest levels of discounter penetration in Europe at ~38%.

- While ~570 stores at first glance may not sound like a large figure relative to the >29k small/independent stores still present in Poland (per Euromonitor), it represents a much more significant amount of sales. The average sales density of a 'modern' format store across these 5 companies is >5.5x higher vs the rest of the market, given their store size and wide SKU range vs traditional stores.
- As a result, for every 570 modern stores which are added, ~PLN14bn sales need to be generated (i.e. captured away from competitors), if the 'Modern 5' want to keep their sales densities flat. In our view, this is not likely to be possible at current levels of profitability. Indeed, the sales densities gap of the Modern 5 vs the rest of the market has been narrowing over the past 3 years since the supply/demand imbalance began, falling from ~6.0x towards ~5.6x now (and vs a heyday peak of ~8x in 2016).
- Up until now, the informal channel has served as a clear donor, but over 2025, small grocers/specialists lost only ~50bps of share, while hypers lost ~30bps. This is markedly below the pre-2023 5yr average of ~350bp across the two channels.

Food Retail is effectively a zero sum game: as long as supply exceeds demand, the fight for volumes will continue – driving incremental price investments – until a new equilibrium level is reached. The situation is reminiscent of the post-2010 period in the UK. Grocery demand is borne out of necessity and is generally inelastic to the number of stores present in the market. For volume sale densities to be maintained at the top modern 5 players, there needs to be a funding source. As has been seen in other markets, once MDG penetration flattens, competition then moves **between modern players, as each aims to consolidate volume** – reflected in the ongoing price war between Biedronka and Lidl. Concentration of modern market share among the top 5 players leaves room for increase vs developed market levels. Therefore, we would expect to see continued steep competition over multiple years as the market concentrates and volume growth is reliant on taking share away from other modern grocers – through price investments. This is a normal stage of evolution in the food retail life cycle.

Race for space: A prisoner's dilemma. One may ask, why keep adding space if demand cannot meet supply? Why not simply pull back? From each grocers' individual lens, their actions are rational; *not* adding space, while *everybody else* continues to do so, may deliver a worse competitive outcome for them long-term. A common theme from company communications is that white spots still exist vs their own existing portfolio – Dino Polska is a classic case in point, with bulls on the stock regularly highlighting that it is under-penetrated in certain regions. For example, in Masovia (region of Warsaw), it has only 4.8 stores per 100k inhabitants vs a nation-wide avg of Poland which is much higher at 8.3x. Therefore it is true that DNP has

theoretical room to dense up its network in Masovia – however this overlooks the fact that Biedronka, Lidl, Zabka are already heavily present in Masovia and the region is not under-served in aggregate. Similarly, if Biedronka does not open a store in a region where it has 'white space' but a competitor does, it risks the competitor outpacing Biedronka in market share gains and benefiting from incremental scale economies which can then be reinvested in lower prices. In aggregate, these dynamics create a race for space.

Capital allocation: Biedronka's actions are rational from its own perspective. It is a point of debate as to which situation is preferable – a prolonged period of oversupply, gradually depleting profitability lower, or a situation where a strong market leader forces profitability lower for a 1-2 year period for everyone, and therefore forces oversupply to slow, as the market transitions. Over time, this then forces participants to reset strategies and gradually look for ways to repair margins. Squeezing the profitability / cashflows of competitors, for example by offering yoy pay increases above the growth in minimum wage, or tightening supplier terms (eg JMT days payables have come down to ~99 now vs prior peak or ~108) would make sense for a rational actor looking to capture the most of remaining profitable locations / switch volumes. In fact, the strategy is working – Carrefour's Polish operations, as an example, are up for sale and the retailer is looking to exit. In addition, from a Group standpoint, Poland remains a higher ROE region vs other geographies. While Polish profitability may be falling, it is still materially higher versus other regions – in Poland Jeronimo Martins makes EBIT margin of ~5.1% at Biedronka vs in 2.1% Portugal (and EBIT return on assets of 13% vs 4.4%, respectively). Therefore, given its high cash generation, it makes sense that incremental capital would be deployed in the highest earning region. A similar logic holds true for Lidl and its broader DM portfolio, in our view, and has generally been the reason why there is a high presence of international operators in the country (eg French grocers).

Biedronka's and Dino Polska's baskets are back in significant deflation as of Q1, with no signs of competition abating. Our Dlahandlu price tracker, plus companies' disclosures, suggest Biedronka reopened a material price gap vs the market in Q1 this year, on our estimate pricing -7% below the market average, compared to an exit rate of ~4.7% as of 4Q. This tallies with company commentary which suggests that the gap of Biedronka's rate of basket inflation vs peers widened ~from 200bp below the market over 1Q/3Q25 to >500bp in 1Q26 on our maths. Our data suggests these trends have continued over 2Q, with Lidl also responding in turn. Dino Polska is similarly operating with deflation since Q4, and 2%/3% deflation as of Q1, as the company has sharpened its pricing policy, which our price tracker shows has continued Ytd with ~140bp investment in relative price position as of 2QTD vs 2025 avg (and compared to ~270bp at Biedronka). We do not see competition abating any time soon, against a backdrop of muted food inflation for the industry as a whole (MS econ: +1.2% 26e). While food inflation will likely accelerate from Q4 onwards, on the demand side, wage growth in 2027 for the lower income quartile of households is likely to be moderate at ~3% (this is the bucket with highest propensity to consume / highest share of food items in their basket). As a result we think volume growth will remain reliant on share gains and price investments, making it challenging for food retailers to pass on the full extent of input costs.

Jerónimo Martins: Underweight. We think Biedronka (and JMT as a whole) is a fundamentally well-run and socially responsible business. Our estimates are marked for the group prioritizing defending ROIC and a strategy consistent with stable ROA in Poland, gradually bringing down net new stores, while investing in prices to drive volume outperformance vs peers. However, from a share price standpoint, we think Cissus looks too optimistic and is mistakenly extrapolating past performance when it comes to LfL and space expectations. As a result, our Group EBIT sits -5% below Cissus by 2028e, with the key Biedronka division being -6.5% below Cissus at the EBITDA level. We expect weaker top line trends than Street, as we assume that pricing will remain depressed with Biedronka investing ahead of peers, with only ~1% positive basket inflation over 2027/28e and -1% in 26e. Against that, we think Biedronka's mature store volumes (pre ramp up benefit from space) are likely to be up modestly (~1%-2%), given the market backdrop and lower scope for share gains vs history. Overall, this leaves us with avg Biedronka LfL of ~2.2% over 26/28e, c100bp below Cissus pa, and our space growth contribution is also ~100bp below Cissus. From a multiple standpoint, the stock is on ~13x 12m Cissus earnings currently, vs 10-20yr average of 19x-20x. However, given our views on market structure, we don't think historical multiples apply; referencing this against DM PEG ratios, we think ~12.5x implied P/E at price target is a fair middle ground. Our EUR15.50 PT implies ~8% downside.

Dino Polska: Underweight. We see -16% earnings downside to Consensus and -18% downside to the share price. *"Rapid organic growth in the number of stores"* is the first bullet of Dino's mid term business development strategy. Correspondingly, Cissus models ~10% avg space contribution to sales per annum over 26-28e, while simultaneously delivering above-market same store volumes (~5% LfL) and EBITDA margins staying flat vs 2025. We think at least one of these things has to give. We do not think that DNP can continue rolling out space at its targeted run-rates, while at the same time seeing a stable margin.

- While Biedronka is defending price position and fighting for volume from a position of strength, in the case of Dino Polska we think the adjustment will be more margin-consumptive, as price gaps are not as competitive and this is already coming thru the numbers. As of Q4, the company commented *"customers [are] actively seeking out promotions and basing many of their purchasing decisions on price. Dino Polska takes this signal seriously. [...] At the end of the year, deflation returned to our shelves. [...] [Deflation] has continued into [2026] and, for some time, it will remain an important variable affecting the rate of sales growth. [...] EBITDA margin will be its direct outcome"*. During Q1, language on pricing policy also emphasized a strategy aimed at "maximizing sales volumes". Based on our Dlahandlu price tracker, DNP priced ~2.2% above the market avg over 2025, while QTD, the price gap has improved to ~0.8%, suggesting DNP is investing in prices.
- While being proactive on pricing is positive for volume momentum, market expectations around profitability have a high bar to clear. We expect EBITDA margin to be down ~37bp y/y in 2026e (similar to 2025), vs Cissus expecting -9bp y/y. By 2028e, we expect cumulative contraction of ~60bp. We would note that DNP's EBITDA margins have been in continued decline for the last 5 years, so our forecasts are consistent directionally with the reported trend

(avg decline of ~50bp pa) and if anything imply risks are further to the downside.

- Our analysis shows that Dino's EBITDA margin averaged 40bp above Biedronka's over 2020-24, or 85bp higher if adjusted for maturity of the store base. As of 2025, we estimate the mature margin is now broadly on par vs a peak premium of >250bp pre COVID. While Dino Polska has some unique features (eg meat counters and degree of vertical integration), we still think that given Biedronka is 3.2x larger, margins are more likely to continue to rebase downwards. For example in the UK the gap between the number 1 (Tesco) vs the number 2 (Sainsbury's) is about 100bp. Reflecting some of DNP's relative strengths, we do not go that far in rebasing the exit steady state margin, but by 2028e we expect the mature margin to be ~70bp below Biedronka's.
- Lower down the P&L, we also note that financing costs were flat y/y in 2025 while gross debt was down -36% and the company was in a net cash position. We think this is explained by growth in reverse factoring liabilities. Reverse factoring exposure stood at ~44% of trade payables as of 2025, up from 36% in 2024. Interest on trade payables is up >80% y/y. Against these risk factors, we weigh that the interest rate being paid on the reverse factoring payables appears modest at ~3% (vs Zabka ~6.4%) which does not suggest excessive maturity transformation and the theoretical benefit to gross margin (if we were to recalculate COGS incl interest expense) is also small at ~6bp (out of gross margin up +26bp y/y). Given the overall net cash position, we do not adjust COE for the reverse factoring exposure, but it is a risk factor we will monitor.
- Overall, our earnings are -16% below Csus. In addition to rebasing EPS, we think the market also needs to take a haircut on DNP's multiple, as the new slower growth prospects become apparent. We value the stock on 1.1x PEG or ~12.3x implied P/E at price target, against ~11% expected 2026-28e EPS CAGR but no dividend yield.

Zabka: Equal-weight. Out of the three Polish food retailers, we think Zabka has the relatively most insulated end market exposure, as we see better dynamics in the convenience and food service channels (see our structural growth analysis [here](#)). In addition, we see it as less exposed to the ongoing discounter price/space war, given the difference in its format and lower exposure to grocery. So why not Overweight? Our EPS is -8% below Csus by 2028e and we do not think the multiple leaves much cushion to absorb cuts.

- LfL momentum has been coming in lower vs our original expectations and we now have 4.8% avg LfL over 2026-28e as our new base case. We also note that DCO growth y/y disclosure appears to have been discontinued at least for 1Q26; if this continues for the following quarters, it would materially reduce our visibility and ability to track progress towards the company's 5x growth target (MSe 2.6x by 28e; of the 2x sales to end customers target, c8% of the growth would come from DCO at target on our calculation).
- Franchising economics also look to have further shifted in favour of the

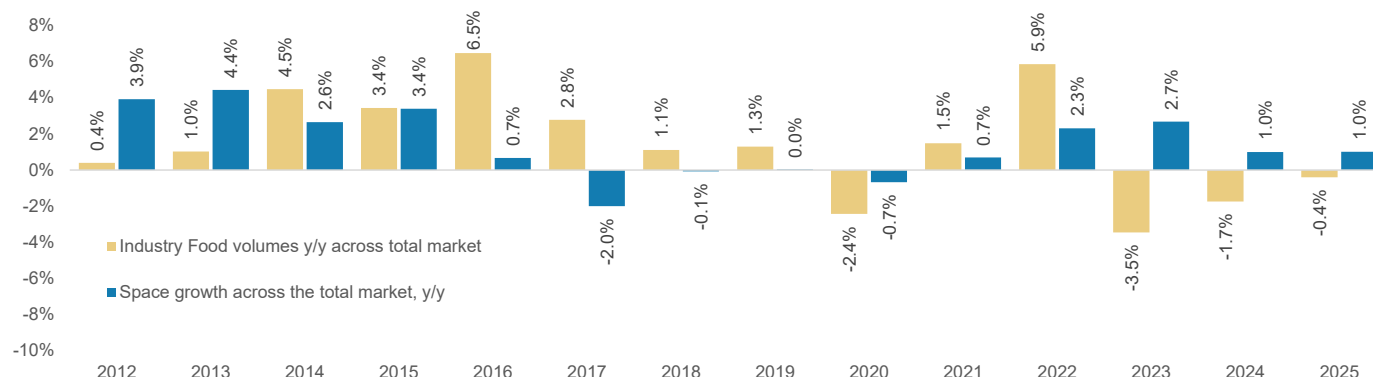
franchisees, with franchisee margin up +60bp in 2023/+20bp in 2024/+30bp in 2025. Our estimates are marked for avg franchisee pay increasing to ~PLN9.25k per month in 2026e, in line with the announced pay increase for Biedronka's high-end store manager pay incl. variable compensation. We now think that it's unlikely Zabka will have leverage through this line and model flat franchisee margin from here, as min. wage for Poland in 26e is expected to be up 3%-4% and would in theory should be below sales growth; but we note risks are to the downside.

- From an overall EBITDA margin standpoint, our forecasts are broadly in line with guidance at ~12.9% exit margin in 2028e. On the plus side, we think management has a good steer on this line as it can control the pace of openings (and therefore losses) coming out of Romania; we also note CMD disclosure that Romania ticket size is close to catching up to Polish levels. However, on the negative side, we think upside on margin is likely capped due to the Romanian expansion mid-term, as we think any operating leverage will likely be recycled into accelerated store rollout. Overall our EBIT is ~6% below Csus by 2028e.
- From a balance sheet standpoint, we note meaningful progress on balance sheet de-risking from an overall leverage standpoint post debt refinancing, which is a key positive (net debt/EBITDA on our definition now at ~2.3x as at end 2025). On the other hand, reverse factoring exposure is still higher vs key sector peers, at around ~50% of payables, and has increased in absolute amounts by ~21% y/y in 2025, which is the opposite direction vs what we would have preferred to see in order to reduce our risk perception of the stock.
- Finally, regarding CEO change - we think there should be continuity; incoming CEO Tomasz Blicharski has held various executive roles in the Group over the last 15 years, while outgoing CEO Tomasz Suchanski will become Chairman. We also note Adam Manikowski remains CEO of Zabka Polska, which we find reassuring.
- Away from management changes, overall, we value the shares with a ~20% discount to 'growth stage' sector PEG of ~1.3x, due to balance sheet risk factors and liquidity considerations, which implies ~19x PE at price target / 1x PEG and ~5% upside from last close.

Where could we be wrong? The key uncertainty against our thesis is timing, in our view. While we have conviction on the end state outcome, along the way there could be various escape valves which may create peaks and troughs. These include potentially higher food inflation, consolidation actions, private operator exits, weaker grocers failing, supplier leverage / rationalisation, and consumer premiumisation. This may mean that the 'equilibrium' between supply/demand takes longer to reach than we expect, and there is relief in a particular year, whereby LfL / margin momentum is better than expected.

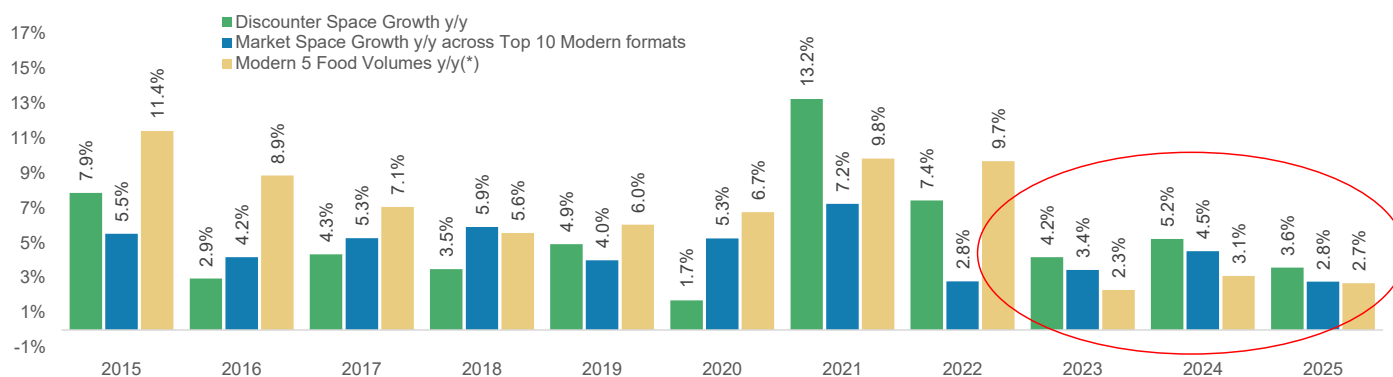
Poland: Structural Transition

Exhibit 2: Poland Grocery Retail: Space expansion has materially outpaced volumes since 2023, leading to softer supply/demand ratios



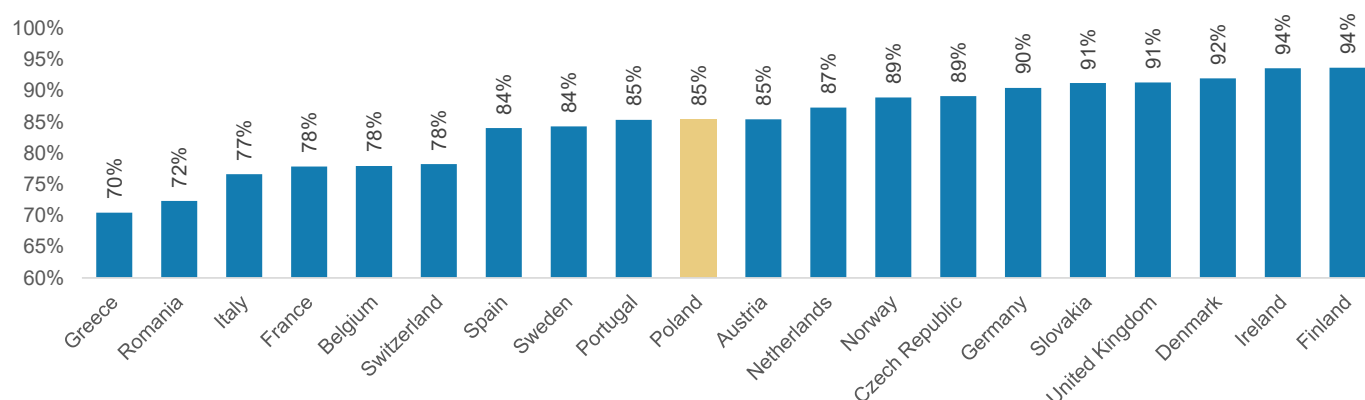
Source: Euromonitor, Haver, Morgan Stanley Research

Exhibit 3: Zooming in on modern format stores, historically volume growth has been above space growth, but trends are much softer as of late. Note: the Top 10 Modern formats will include share donors, as share is now concentrating among the top of the pyramid (which we define as the Modern 5).



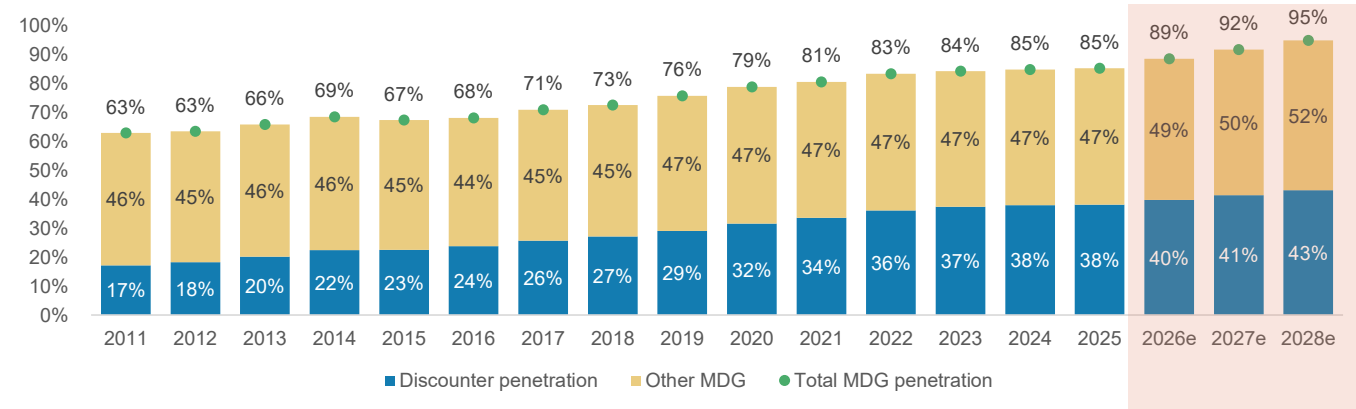
Source: EDGE, Euromonitor, Haver, Morgan Stanley Research. Modern 5 refers to Aldi, Lidl, Kaufland, Biedronka, Dino Polska.

Exhibit 4: Modern grocery penetration as % grocery sales: Current peak penetration is ~94% in Ireland / Finland; Poland sits at 85% today



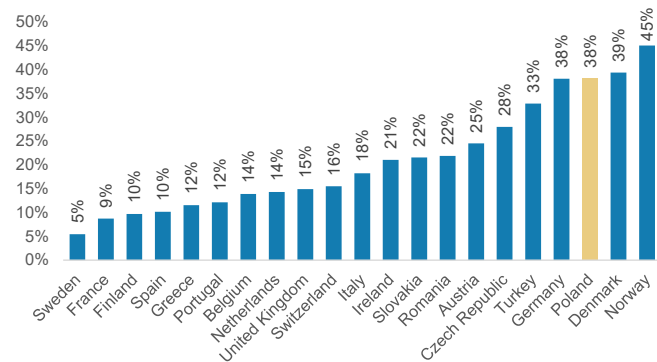
Source: Euromonitor, Morgan Stanley Research estimates

Exhibit 5: Poland: History of modern grocery penetration as % total groceries: has plateaued at ~85%; 2026-2028e shown if pace of expansion across Biedronka, Dino Polska, Aldi, Lidl and Kaufland is unchanged vs the 5yr average and sales densities are maintained



Source: Euromonitor, Morgan Stanley Research estimates

Exhibit 6: Discounter penetration is among the highest in Europe at ~38% of the market



Source: Euromonitor, Morgan Stanley Research

Exhibit 7: Market share gains y/y by format in Poland, as % total sales

Segment	Convenience Retailers	Supermarkets	Hypermarkets	Discounters	Food/Drink Specialist	Small Local Grocers	Hypers + Traditionals
2015	58bp	-20bp	-152bp	5bp	321bp	-213bp	-43bp
2016	40bp	-51bp	-41bp	129bp	47bp	-124bp	-119bp
2017	95bp	7bp	-19bp	190bp	-198bp	-75bp	-292bp
2018	59bp	34bp	-70bp	147bp	-120bp	-50bp	-240bp
2019	138bp	41bp	-54bp	194bp	-205bp	-114bp	-373bp
2020	123bp	26bp	-95bp	254bp	-23bp	-285bp	-402bp
2021	96bp	25bp	-144bp	198bp	49bp	-225bp	-320bp
2022	22bp	79bp	-73bp	251bp	-219bp	-60bp	-352bp
2023	-60bp	85bp	-69bp	130bp	-59bp	-28bp	-155bp
2024	-18bp	44bp	-25bp	57bp	-41bp	-17bp	-83bp
2025	5bp	53bp	-27bp	18bp	-35bp	-14bp	-76bp

Source: Euromonitor, Morgan Stanley Research

Exhibit 8:

Illustrative analysis of modern grocery penetration in Poland if the level of supply stays unchanged; deflated sales density per store across the Modern 5 has been contracting

Segment	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	Sensitivity		
											2026e	2027e	2028e
Biedronka	2,722	2,823	2,900	3,002	3,115	3,250	3,395	3,569	3,730	3,882	4,034	4,186	4,338
Dino Polska	628	775	977	1,218	1,473	1,815	2,156	2,406	2,688	3,033	3,378	3,723	4,068
Schwarz Group (Lidl + Kaufland)	810	816	868	918	975	1,028	1,079	1,127	1,160	1,183	1,206	1,229	1,252
Aldi	118	124	132	138	157	196	251	295	350	400	450	500	550
"Modern 5" Number of stores	4,278	4,538	4,877	5,276	5,720	6,289	6,881	7,397	7,928	8,498	9,068	9,638	10,208
Total market: Stores	131,463	110,608	99,151	93,457	90,446	91,993	95,976	98,684	98,512	99,195	<i>if unchanged vs 2025</i>		
Biedronka	55	101	77	102	113	135	145	174	161	152	152	152	152
Dino Polska	117	147	202	241	255	342	341	250	282	345	345	345	345
Schwarz Group (Lidl + Kaufland)	30	6	52	50	57	53	51	48	33	23	23	23	23
Aldi	12	6	8	6	19	39	55	44	55	50	50	50	50
"Modern 5" Change in stores y/y	214	260	339	399	444	569	592	516	531	570	570	570	570
"Modern 5"	70,495	78,763	85,277	94,822	105,982	119,972	151,725	178,292	190,029	204,267	217,968	231,669	245,370
Total Market: Sales PLN mn	262,573	270,444	277,485	285,002	287,899	306,512	359,334	396,072	410,430	426,713	426,713	426,713	426,713
Modern Grocery Sales	179,084	191,829	201,545	216,093	227,134	247,208	299,828	333,913	348,380	364,271	377,972	391,673	405,375
Traditional Channel Sales	83,489	78,615	75,940	68,909	60,764	59,305	59,506	62,159	62,050	62,442	<i>keeping flat for illustration</i>		
"Modern 5"	16,479	17,356	17,486	17,972	18,528	19,077	22,050	24,103	23,969	24,037	24,037	24,037	24,037
Market: Sales density PLN 000s	1,997	2,445	2,799	3,050	3,183	3,332	3,744	4,014	4,166	4,302			
"Modern 5" vs Market	8.3x	7.1x	6.2x	5.9x	5.8x	5.7x	5.9x	6.0x	5.8x	5.6x			
MDG Penetration	68.2%	70.9%	72.6%	75.8%	78.9%	80.7%	83.4%	84.3%	84.9%	85.4%	88.6%	91.8%	95.0%
"Modern 5" penetration	26.8%	29.1%	30.7%	33.3%	36.8%	39.1%	42.2%	45.0%	46.3%	47.9%	51.1%	54.3%	57.5%
Change y/y (bps)	74bp	228bp	161bp	254bp	354bp	233bp	308bp	279bp	128bp	157bp	321bp	321bp	321bp
Total Market: Sales y/y	6.8%	3.0%	2.6%	2.7%	1.0%	6.5%	17.2%	10.2%	3.6%	4.0%	5.9%	8.2%	
Food CPI	0.9%	4.4%	2.6%	4.9%	4.7%	3.1%	15.3%	14.9%	3.4%	4.7%	7.5%	8.1%	
Volumes/mix (Euromonitor scope)	5.9%	-1.3%	0.0%	-2.0%	-3.5%	3.3%	1.7%	-4.1%	0.2%	-0.7%	-1.5%	0.1%	
Population growth	0.0%	0.0%	-0.1%	-0.1%	-0.8%	-0.5%	-0.4%	-0.3%	-0.4%	-0.4%	-0.4%	-0.4%	
Volumes/mix ex population growth	5.9%	-1.3%	0.1%	-2.0%	-2.8%	3.8%	2.1%	-3.7%	0.6%	-0.3%	-1.1%	0.5%	
Modern 5 sales density y/y	4.3%	5.3%	0.7%	2.8%	3.1%	3.0%	15.6%	9.3%	(0.6%)	0.3%	2.9%	5.3%	
Deflated at market CPI	3.4%	0.9%	-1.8%	-2.0%	-1.5%	-0.1%	0.2%	-4.8%	-3.8%	-4.2%	-4.3%	-2.6%	

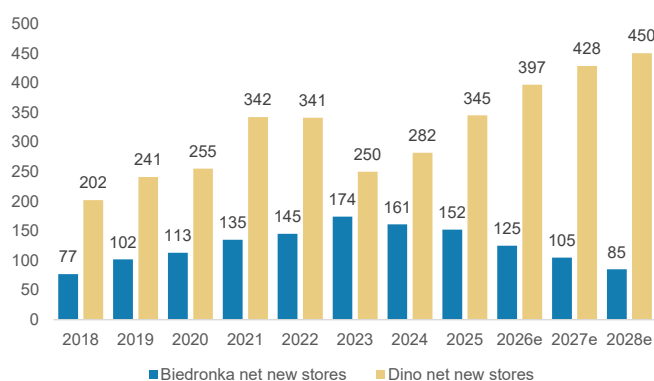
Source: Euromonitor, Morgan Stanley Research estimates (e)

Exhibit 9: At current pace of store openings, we think sales densities across the Modern 5 will see an aggregate contraction in the mid-SD as demand cannot keep up with supply and share gains are slowing

Net store openings	Sales density vs 2025 (ex pricing)					
	-5.0%	-4.0%	-3.0%	-2.0%	-1.0%	0.0%
20bp	485	391	299	210	122	36
50bp	541	447	354	264	175	89
70bp	578	484	391	300	211	124
100bp	634	539	446	355	265	178
120bp	672	576	482	391	301	213
160bp	746	650	556	463	373	284
200bp	821	724	629	536	444	355
250bp	914	816	720	626	534	444
300bp	1,008	909	812	717	624	533
320bp	1,045	946	848	753	660	568

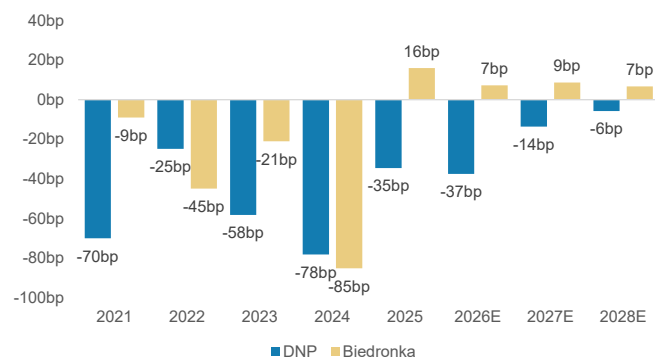
Source: Morgan Stanley Research

Exhibit 10: We expect to see diverging store opening trends at Biedronka vs Dino Polska based on current trends



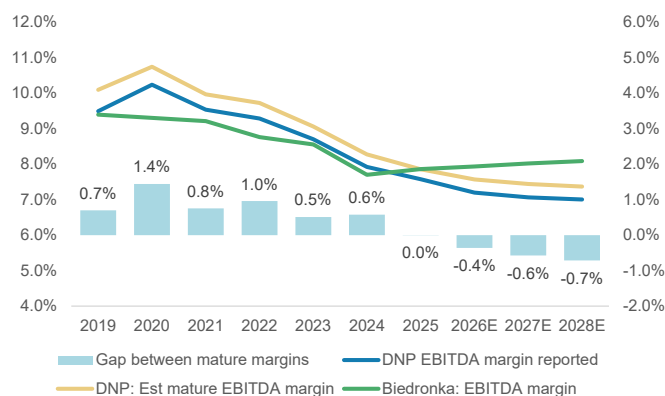
Source: Company data, Morgan Stanley Research estimates

Exhibit 11: EBITDA margin y/y - we expect Biedronka to slowly recover given its scale advantages / hefty price investments / slower space rollout, while for Dino we expect continued declines



Source: Company data, Morgan Stanley Research estimates

Exhibit 12: Our forecasts assume that Dino's mature margin rebases to be -70bp below Biedronka's by 2028e



Source: Company data, Morgan Stanley Research estimates

Exhibit 13:

DlaHandlu price analysis: Biedronka is ~7% cheaper vs the market average and its price gap has been expanding over the past 2 quarters; Lidl also remains competitive at -7%.

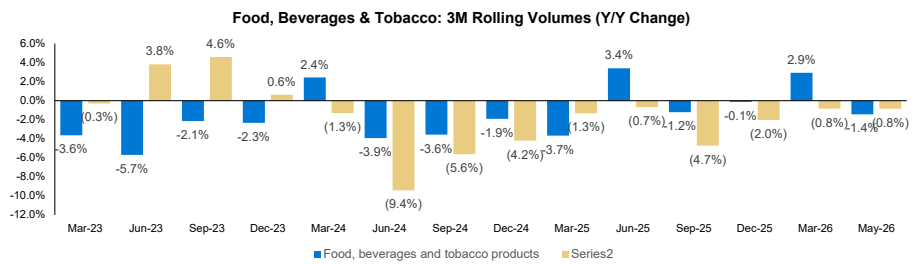
Methodological note: The DlaHandlu price survey is an imperfect measure and as with any price survey, there will be SKU / location selection bias, which may mean the survey is not representative of the company's price position as a whole; the treatment of loyalty schemes/promotions is also not explicit and data is recorded at irregular intervals per grocer. Therefore we suggest looking at directional trends in rolling averages and longer term trends when interpreting the results.

Retailer	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
Auchan	-15.8%	-17.8%	-12.0%	-14.1%	-14.0%	-14.6%	-11.4%	-11.8%	-12.8%	-12.7%
Biedronka	-10.0%	-5.1%	-6.6%	-6.1%	-3.4%	-6.2%	-4.3%	-4.7%	-6.9%	-7.3%
Kaufland	-2.3%	-4.6%	-2.0%	-2.5%	-4.8%	-7.3%	-6.7%	-8.5%	-7.5%	-4.7%
Carrefour	2.4%	0.6%	1.0%	-1.8%	-0.1%	1.0%	0.4%	1.4%	3.5%	3.5%
Netto	2.4%	3.7%	1.8%	4.3%	4.7%	3.9%	1.5%	0.2%	0.2%	1.7%
Dino	4.6%	3.1%	2.7%	2.7%	1.7%	2.5%	1.6%	3.2%	4.3%	0.8%
Lidl	-8.3%	-4.8%	-9.6%	-4.2%	-4.6%	-5.9%	-4.6%	-2.7%	-5.4%	-7.3%
E.Leclerc	2.4%	-0.9%	1.5%	0.2%	-0.4%	1.1%	-0.6%	-0.8%	1.1%	2.4%
Aldi	-0.6%	1.7%	1.4%	2.0%	3.8%	4.3%	2.9%	2.6%	2.8%	-0.1%
Stokrotka	2.6%	4.6%	5.6%	5.6%	2.5%	3.9%	2.3%	2.9%	4.9%	2.3%
Lewiatan	22.8%	20.6%	17.7%	15.1%	15.4%	18.6%	19.5%	19.2%	17.7%	22.2%
Carrefour Express	58.3%	57.9%	58.8%	54.4%	53.7%	55.3%	57.0%	54.6%	54.7%	53.9%
Zabka	40.3%	39.0%	44.1%	39.0%	37.2%	38.0%	39.2%	38.0%	40.3%	42.2%

Chg Y/Y	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
Auchan					174bp	317bp	62bp	227bp	127bp	195bp
Biedronka					666bp	-101bp	229bp	148bp	-351bp	-116bp
Kaufland					-250bp	-267bp	-478bp	-597bp	-269bp	255bp
Carrefour					-250bp	39bp	-55bp	320bp	363bp	257bp
Netto					234bp	16bp	-29bp	-405bp	-455bp	-215bp
Dino					-298bp	-61bp	-106bp	50bp	259bp	-168bp
Lidl					363bp	-116bp	502bp	158bp	-74bp	-138bp
E.Leclerc					-288bp	205bp	-210bp	-102bp	158bp	128bp
Aldi					437bp	260bp	149bp	59bp	-101bp	-440bp
Stokrotka					-14bp	-71bp	-338bp	-275bp	248bp	-159bp
Lewiatan					-743bp	-205bp	189bp	416bp	232bp	361bp
Carrefour Express					-453bp	-254bp	-183bp	25bp	100bp	-138bp
Zabka					-310bp	-109bp	-482bp	-101bp	313bp	425bp

Source: DlaHandlu, Morgan Stanley Research. Shown vs simple mkt average excluding Carrefour Express and Zabka. Note: Data from 1Q24 is shown as an average of price position across 5 regions; data prior to that is based on price position in Warsaw.

Exhibit 14: Food retail volume trends remain anemic



Source: Haver, Morgan Stanley Research

Exhibit 15: Poland Retail Sales overview

	1Q25	2Q25	3Q25	4Q25	1Q26		1Q25	2Q25	3Q25	4Q25	1Q26	
Volumes (y/y change) - 3M rolling	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Apr-26	May-26	1Q25	2Q25	3Q25	4Q25	1Q26
Motor vehicles, motorcycles, parts	15.2%	12.8%	11.7%	13.9%	2.0%	3.7%	3.5%	-1,057bp	-243bp	-107bp	217bp	-1,190bp
Food, beverages and tobacco products	-3.7%	3.4%	-1.2%	-0.1%	2.9%	-0.4%	-1.4%	-177bp	707bp	-460bp	107bp	307bp
Pharmaceuticals, cosmetics, orthopaedic eqpt	8.4%	6.4%	4.2%	5.4%	8.4%	8.2%	9.5%	-223bp	-197bp	-223bp	117bp	300bp
Textiles, clothing, footwear	7.2%	8.3%	18.0%	9.1%	10.7%	1.6%	2.6%	2,043bp	110bp	973bp	-897bp	163bp
Furniture, radio, TV and household appliances	10.9%	14.1%	15.1%	16.8%	8.5%	5.4%	4.5%	1,420bp	320bp	100bp	167bp	-823bp
Newspapers, books, other specialized stores	-2.5%	3.1%	0.4%	-2.4%	0.0%	-4.7%	-1.8%	-397bp	560bp	-273bp	-273bp	240bp
Total	1.4%	4.7%	4.8%	4.6%	6.0%	5.0%	4.3%	-73bp	337bp	3bp	-17bp	143bp
Sales (y/y change) - 3M rolling	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Apr-26	May-26	1Q25	2Q25	3Q25	4Q25	1Q26
Motor vehicles, motorcycles, parts	9.0%	6.3%	5.5%	7.0%	-4.2%	-2.3%	-2.5%	-1,060bp	-263bp	-80bp	143bp	-1,120bp
Food, beverages and tobacco products	2.1%	9.0%	3.7%	3.4%	6.0%	2.4%	0.8%	-57bp	697bp	-533bp	-27bp	257bp
Pharmaceuticals, cosmetics, orthopaedic equipment	11.1%	8.7%	6.5%	7.2%	10.5%	10.4%	11.6%	197bp	-240bp	-227bp	73bp	330bp
Textiles, clothing, footwear	5.8%	6.6%	16.6%	7.1%	7.3%	-1.6%	-0.6%	2,050bp	77bp	997bp	-943bp	20bp
Furniture, radio, TV and household appliances	10.2%	12.7%	13.1%	14.0%	7.1%	4.1%	3.3%	1,357bp	257bp	33bp	97bp	-697bp
Newspapers, books, other sale in specialized stores	-2.0%	3.2%	0.0%	-2.4%	0.4%	-3.9%	-0.3%	-490bp	523bp	-320bp	-243bp	280bp
Total	2.4%	4.8%	4.8%	4.4%	6.0%	5.6%	5.7%	-37bp	233bp	3bp	-37bp	157bp
Implied pricing (y/y change) - 3M rolling	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Apr-26	May-26	1Q25	2Q25	3Q25	4Q25	1Q26
Motor vehicles, motorcycles, parts	-5.4%	-5.7%	-5.5%	-6.1%	-6.1%	-5.8%	-5.8%	-48bp	-29bp	18bp	-54bp	-2bp
Food, beverages and tobacco products	6.0%	5.4%	5.0%	3.6%	3.0%	2.8%	2.3%	133bp	-50bp	-49bp	-139bp	-59bp
Pharmaceuticals, cosmetics, orthopaedic eqpt	2.5%	2.2%	2.2%	1.7%	2.0%	2.0%	1.9%	-30bp	-36bp	1bp	-44bp	23bp
Textiles, clothing, footwear	-1.3%	-1.6%	-1.2%	-1.8%	-3.0%	-3.1%	-3.2%	38bp	-29bp	33bp	-53bp	-127bp
Furniture, radio, TV and household appliances	-0.7%	-1.2%	-1.8%	-2.3%	-1.4%	-1.2%	-1.1%	-56bp	-54bp	-57bp	-57bp	99bp
Newspapers, books, other specialized stores	0.5%	0.1%	-0.3%	0.0%	0.4%	0.9%	1.6%	-90bp	-38bp	-46bp	30bp	40bp
Total	1.1%	0.0%	0.0%	-0.2%	0.0%	0.6%	1.3%	37bp	-102bp	0bp	-19bp	13bp

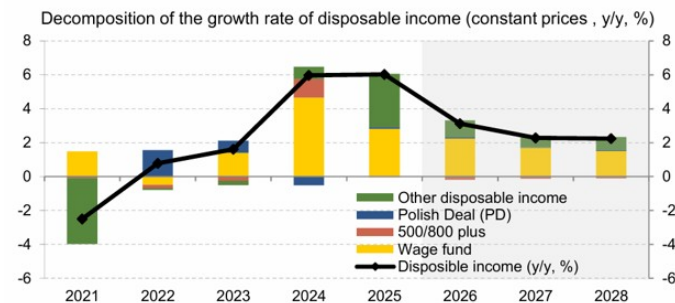
Source: Haver, Morgan Stanley Research

Exhibit 16: Staff Pay Summary - Biedronka 2025 and 2026

Position	2025 (from 1 Jan 2025)	2026 (from 1 Jan 2026)	Increase (PLN)	Increase (%)
Sales Assistant/Cashier (new starter)	PLN 5,150–5,500	PLN 5,300–5,650	+150	+2.9% / + 2.7%
Sales Assistant/Cashier (3+ years)	PLN 5,300–5,750	PLN 5,450–5,900	+150	+2.8% / + 2.6%
Sales Assistant/Cashier (including variable pay)	Not stated	PLN 5,800–6,150	—	—
Sales Assistant/Cashier (3+ years incl. variable pay)	Not stated	PLN 5,950–6,400	—	—
Deputy Store Manager	Not stated	PLN 5,950 base / PLN 7,050 incl. variable pay	—	—
Store Manager (new starter)	From PLN 7,200	From PLN 7,450	+250	+3.5%
Store Manager (incl. variable pay)	Not stated	Up to PLN 9,250	—	—
Warehouse Worker	PLN 5,250–5,550	PLN 5,500–5,800	+250	+4.8% / +4.5%
Administrative & Warehouse Inspector	PLN 6,100–6,400	PLN 6,400–7,000	+300/+600	+4.9% / +9.4%
Employees receiving pay rise	~67,000	>70,000	—	+4.5%
Company annual cost of pay rises	~PLN 450m	>PLN 200m	—	—
Maximum monthly performance bonus	PLN 250	PLN 500 (doubled)	+250	+100%

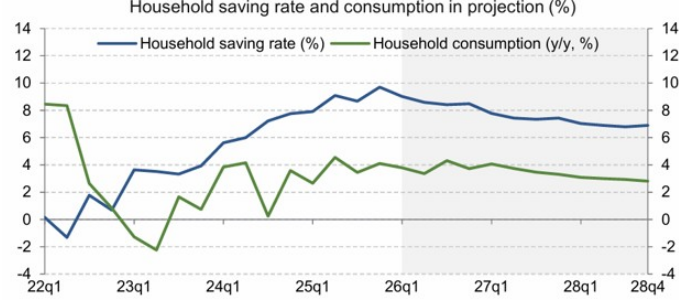
Source: Company data, Morgan Stanley Research estimates

Exhibit 17: Real disposable income growth is expected to slow from ~6% pa over 2024/25 to 3%-2% over 2026/28e



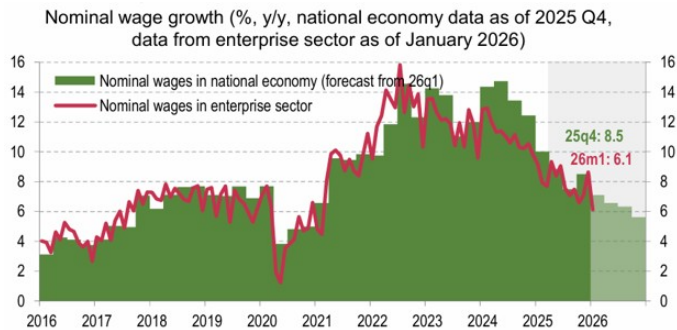
Source: Narodowy Bank Polski

Exhibit 18: This is accompanied by a still elevated household savings rate



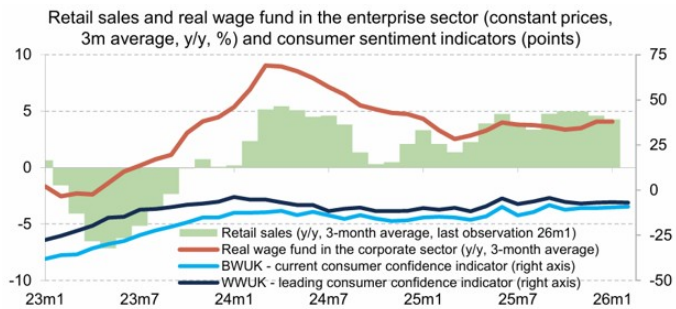
Source: Narodowy Bank Polski

Exhibit 19: Wage growth in the enterprise sector is slowing



Source: Narodowy Bank Polski

Exhibit 20: Consumer confidence indicators are negative, though stable at current level



Source: Narodowy Bank Polski

Dino Polska - Underweight

Exhibit 21: Summary Financials 2024-28e

Dino Polska: Summary Financials						Analyst: Izabel Dobрева (izabel.dobrega@ms.com)						Last close: (PLN)						28.4					
Income Statement (PLN mn)						Per share data						Valuation Metrics						Profitability Ratios					
2024	2025	2026E	2027E	2028E		2024	2025	2026E	2027E	2028E		2024	2025	2026E	2027E	2028E		2024	2025	2026E	2027E	2028E	
Sales	29,274	33,634	37,989	43,482	49,561	EPS dil. reported (PLN)	1.53	1.59	1.66	1.84	2.05	P/E	18.5x	17.9x	17.1x	15.5x	13.8x	Return on Revenues (net inc)	5.1%	4.6%	4.3%	4.1%	4.1%
YoY change	14.1%	14.9%	12.9%	14.5%	14.0%	MW EPS (PLN)	1.53	1.59	1.66	1.84	2.05	P/BV	3.9x	3.2x	2.7x	2.3x	2.0x	o/w Gross margin - MSe	34.0%	33.8%	33.4%	33.3%	33.3%
LFL	5.3%	4.4%	3.3%	4.8%	4.9%	DPS (PLN)	0.00	0.00	0.00	0.00	0.00	FCF Yield	3.0%	1.5%	-0.1%	0.1%	0.5%	o/w EBITDA margin	7.9%	7.6%	7.2%	6.3%	5.5%
Cost of sales	-22,463	-25,723	-29,123	-29,123	-29,123	Payout ratio (% u/lying EPS)	0%	0%	0%	0%	0%	Dividend yield	0.0%	0.0%	0.0%	0.0%	0.0%	o/w EBIT margin	6.5%	6.1%	5.6%	4.9%	4.3%
Gross profit (reported)	6,811	7,911	8,866	8,866	8,866	Retail FCF (PLN)	0.86	0.43	-0.03	0.03	0.14	ROIC (NOPAT u/lying)	24.1%	21.9%	19.2%	17.7%	16.9%	ROCE	26.9%	24.3%	21.3%	20.0%	19.2%
YoY change	15.0%	16.2%	12.1%	0.0%	0.0%	BVPS (EUR)	7.2	8.8	10.5	12.3	14.4	ROCE Gross (EBITDA u/lying)	27.4%	26.0%	23.3%	21.8%	20.8%	ROA (net profit u/lying)	12.8%	11.0%	9.9%	9.5%	9.1%
Operating expenses (est)	-4,517	-5,394	-6,163	-6,163	-6,163	Wtd. Shares outstanding (mn)	980	980	980	980	980	ROE (net profit, ulying)	23.7%	19.8%	17.2%	16.1%	15.3%	Retail FCF % Retail EBITDA	36.2%	16.7%	-0.9%	1.0%	5.0%
YoY change	21.9%	19.4%	14.3%	0.0%	0.0%	Total payout	0%	0%	0%	0%	0%	Retail free cash flow % Sales	2.9%	1.3%	-0.1%	0.1%	0.3%	Net profit (statutory)	1,506	1,559	1,631	1,802	2,013
EBITDA (u/lying)	2,318	2,546	2,734	2,734	2,734																		
YoY change	3.8%	9.9%	7.4%	0.0%	0.0%																		
D&A	-409	-505	-619	-619	-619																		
EBIT (u/lying)	1,908	2,041	2,115	2,115	2,115																		
YoY change	2%	7%	4%	0%	0%																		
Finance expense	-115	-115	-101	-101	-101																		
Profit before tax (u/lying)	1,794	1,927	2,014	2,225	2,485																		
Profit before tax (statutory)	1,794	1,927	2,014	2,225	2,485																		
Net profit (u/lying)	1,504	1,558	1,631	1,802	2,012																		
Net profit (statutory)	1,506	1,559	1,631	1,802	2,013																		
Balance sheet (PLN mn)						Balance Sheet Gearing						Store metrics											
2024	2025	2026E	2027E	2028E		2024	2025	2026E	2027E	2028E		2024	2025	2026E	2027E	2028E							
Fixed assets	8,231	9,775	11,640	13,680	15,853	Gearing (Net Debt : Equity)	0.0x	0.0x	0.0x	0.0x	0.0x	No. stores	2,688	3,033	3,430	3,430	3,430						
Intangible assets	170	176	218	257	292	Net debt / EBITDA	0.1x	-0.1x	-0.1x	-0.1x	-0.1x	Selling space (sq m 000s)	1,061	1,200	1,360	1,360	1,360						
Inventories	3,081	3,548	4,032	4,622	5,272	Fixed charge cover	2.1x	0.5x	-0.8x	-0.7x	-0.2x	Avg. store size (sq m)	395	396	397	397	397						
Receivables	376	372	420	481	548	Interest rate on gross debt	11.1%	14.4%	15.5%	16.2%	17.6%	Retail sales per sq m	29,141	29,744	29,671	31,964	36,433						
Cash	891	955	930	957	1,094	Short term debt, % Debt	56.1%	51.5%	51.5%	51.5%	51.5%	Capex % Sales (ex ROU)	5.3%	6.2%	6.6%	6.4%	6.1%						
Total assets	13,056	15,171	17,627	20,449	23,579																		
Borrowings	1,008	645	645	645	645																		
Payables	4,362	5,195	5,903	6,766	7,718																		
Total liabilities	5,953	6,500	7,324	8,344	9,462																		
Shareholders' equity	7,102	8,671	10,302	12,105	14,118																		
Net (Debt)/Cash	196	-199	-169	-185	-310																		
Net (Debt)/Cash ex leases	117	-310	-285	-312	-449																		
Working Capital	-1,341	-1,790	-2,037	-2,336	-2,665																		
Cash flow statement (PLN mn)																							
2024	2025	2026E	2027E	2028E																			
Cash from operations	2,442	2,580	2,556	2,899	3,271																		
Capex	-1,562	-2,087	-2,499	-2,786	-3,040																		
Retail free cash flow	839	424	-25	28	137																		
Lease payments	-44	-72	-84	-88	-97																		
Dividends	0	0	0	0	0																		
Change in cash (retail)	673	64	-25	28	137																		

Source: Company data, Morgan Stanley Research (e = estimates)

Exhibit 22: Summary of MSe vs Csus

Dino Polska	New			Bloomberg			MSe vs BBG		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Growth									
LFL growth	3.3%	4.8%	4.9%	5.0%	5.2%	4.7%	-166bp	-39bp	22bp
New space contribution	9.6%	9.6%	9.1%	10.4%	10.0%	8.8%	-72bp	-36bp	31bp
Sales Growth	12.9%	14.5%	14.0%	15.3%	15.2%	13.5%	-238bp	-76bp	53bp
P&L (PLN mn)									
Net sales	37,989	43,482	49,561	38,789	44,692	50,705	-2.1%	-2.7%	-2.3%
Cost of sales	-29,123	-33,341	-38,003	-29,639	-34,166	-38,791			
Gross profit (reported)	8,866	10,141	11,558	9,150	10,526	11,914	-3.1%	-3.7%	-3.0%
SG&A	-6,163	-7,105	-8,124				--	--	--
EBITDA	2,734	3,070	3,470	2,902	3,347	3,851	-5.8%	-8.3%	-9.9%
D&A	-619	-739	-870	-595	-692	-777	4.0%	6.8%	12.0%
Operating income	2,115	2,330	2,600	2,307	2,655	3,074	-8.3%	-12.2%	-15.4%
Net Financial Result	-101	-105	-115						
PBT	2,014	2,225	2,485	2,164	2,537	2,882	-6.9%	-12.3%	-13.8%
Taxes & other	-383	-423	-472						
Net Income	1,631	1,802	2,013	1,778	2,055	2,386	-8.2%	-12.3%	-15.6%
Gross margin	23.3%	23.3%	23.3%	23.6%	23.6%	23.5%	-25bp	-23bp	-17bp
EBITDA margin	7.2%	7.1%	7.0%	7.5%	7.5%	7.6%	-29bp	-43bp	-59bp
EBIT margin	5.6%	5.4%	5.2%	5.9%	5.9%	6.1%	-38bp	-58bp	-82bp

Source: Bloomberg Consensus, Morgan Stanley Research estimates

Jeronimo Martins - Underweight

Exhibit 23: Summary Financials

Jeronimo Martins: Summary Financials

Analyst: Izabel Dobreva (izabel.dobreva@ms.com) Last close: (EUR)

16.76

Income Statement (€ mn)	2024	2025	2026e	2027e	2028e
Sales	33,464	35,991	38,141	39,948	42,039
YoY change	9.3%	7.6%	6.0%	4.7%	5.2%
Poland YoY	9.9%	7.5%	3.7%	4.6%	4.7%
LFL: Biedronka	-0.3%	1.9%	1.4%	2.6%	2.7%
LFL: Hebe	8.5%	1.0%	1.0%	2.0%	2.0%
Portugal YoY	4.0%	4.8%	5.6%	3.0%	2.9%
LFL: Pingo Doce	4.0%	4.0%	4.9%	2.2%	2.2%
LFL: Recheio	2.0%	3.0%	2.5%	2.5%	2.0%
Colombia YoY	17.0%	13.3%	24.3%	8.5%	12.6%
Cost of sales	-26,613	-28,557	-30,244	-31,617	-33,209
Gross profit (reported)	6,851	7,434	7,897	8,331	8,830
YoY change	9.6%	8.5%	6.2%	5.5%	6.0%
Operating expenses (est)	-5,662	-6,096	-6,506	-6,858	-7,261
YoY change	13.6%	7.7%	6.7%	5.4%	5.9%
EBITDA (u/lying)	2,232	2,480	2,632	2,793	2,971
YoY change	3.0%	11.1%	6.1%	6.1%	6.3%
D&A	-1,043	-1,142	-1,241	-1,321	-1,401
EBIT (u/lying)	1,189	1,338	1,392	1,473	1,570
YoY change	-6%	13%	4%	6%	7%
Finance expense	-267	-322	-363	-369	-374
Profit before tax (u/lying)	921	1,014	1,027	1,102	1,194
Profit before tax (statutory)	802	883	904	978	1,067
Net profit (u/lying)	639	694	707	762	830
Net profit (statutory)	600	647	667	723	789
Balance sheet (€ mn)	2024	2025	2026e	2027e	2028e
Fixed assets	5,590	6,146	6,567	6,983	7,402
Intangible assets	795	813	812	807	798
Right of use assets	3,676	4,001	4,007	3,966	3,908
Inventories	1,997	2,248	2,381	2,489	2,614
Receivables	948	962	1,019	1,068	1,124
Cash	1,823	2,268	2,592	2,792	3,098
Total assets	15,296	17,058	17,996	18,722	19,560
Borrowings	1,003	1,250	1,250	1,250	1,250
Lease liabilities	3,918	4,322	4,260	4,196	4,130
Payables	6,800	7,590	8,188	8,559	8,990
Total liabilities	12,045	13,528	14,148	14,496	14,889
Shareholders' equity	3,006	3,290	3,598	3,965	4,400
Net (Debt)/Cash	-3,192	-3,456	-3,070	-2,806	-2,435
Net (Debt)/Cash ex leases	726	866	1,190	1,390	1,696
Working Capital	-3,855	-4,380	-4,787	-5,002	-5,252
Cash flow statement (€ mn)	2024	2025	2026e	2027e	2028e
Cash from operations	1,372	2,096	2,381	2,327	2,510
Capex	-1,054	-1,164	-1,228	-1,286	-1,354
Retail free cash flow	-67	540	733	609	715
FCFF	611	1,230	1,415	1,307	1,426
Dividends & CFF/CFI	-753	-875	-828	-840	-850
Change in cash (retail)	-435	57	324	200	305

Source: Company data, Morgan Stanley Research estimates (e)

Per share data	2024	2025	2026e	2027e	2028e
EPS dil. reported (EUR)	0.95	1.03	1.06	1.15	1.25
MW EPS (EUR)	1.01	1.10	1.12	1.21	1.32
DPS (EUR)	0.59	0.65	0.65	0.65	0.69
Payout ratio (% u/lying EPS)	58%	59%	52%	52%	52%
Retail FCF (EUR)	-0.11	0.86	1.16	0.97	1.13
BVPS (EUR)	4.8	5.2	5.7	6.3	7.0
Wtd. Shares outstanding (mn)	630	630	630	630	630
Total payout	58%	59%	58%	54%	52%

Valuation Metrics	2024	2025	2026e	2027e	2028e
P/E	16.5x	15.2x	14.9x	13.9x	12.7x
P/BV	3.5x	3.2x	2.9x	2.7x	2.4x
FCF Yield	-0.6%	5.1%	6.9%	5.8%	6.8%
Dividend yield	3.5%	3.9%	3.9%	3.9%	4.1%

Profitability Ratios	2024	2025	2026e	2027e	2028e
Return on Revenues (net inc)	1.9%	1.9%	1.9%	1.9%	2.0%
o/w Gross margin	20.5%	20.7%	20.7%	20.9%	21.0%
o/w EBITDA margin	6.7%	6.9%	6.9%	7.0%	7.1%
o/w EBIT margin	3.6%	3.7%	3.6%	3.7%	3.7%

ROIC (NOPAT u/lying)	2024	2025	2026e	2027e	2028e
ROIC (NOPAT u/lying)	56.2%	53.4%	55.1%	55.3%	54.2%
ROCE (company definition)	22.6%	22.5%	21.8%	21.3%	21.1%
ROCE Gross (EBITDA u/lying)	20.5%	20.2%	20.0%	20.0%	19.9%
ROA (net profit u/lying)	4.3%	4.3%	4.0%	4.2%	4.3%
ROE (net profit, u/lying)	22.0%	22.1%	20.5%	20.2%	19.8%

Retail oCF % Retail EBITDA	87%	107%	113%	105%	106%
Retail free cash flow % Sales	-0.2%	1.5%	1.9%	1.5%	1.7%

Balance Sheet Gearing	2024	2025	2026e	2027e	2028e
Gearing (Net Debt : Equity)	1.1x	1.1x	0.9x	0.7x	0.6x
Net debt / EBITDA	1.4x	1.4x	1.2x	1.0x	0.8x
Fixed charge cover	1.2x	1.3x	1.4x	1.5x	1.6x
Interest rate on net debt	10.1%	10.1%	11.7%	13.2%	15.2%
Short term debt, % Debt	22.4%	25.1%	25.3%	25.4%	25.5%

Store metrics	2024	2025	2026e	2027e	2028e
No. stores	6,081	6,469	6,843	7,197	7,531
Selling space (sq m 000s)	3,995	4,220	4,421	4,603	4,771
Avg. store size (sq m)	657	652	646	640	634
Retail sales per sq m	8,619	8,762	8,827	8,853	8,969
Capex % Sales (ex ROU)	2.8%	3.2%	3.2%	3.2%	3.2%

Revenue mix	2024	2025	2026e	2027e	2028e
% Poland	72%	72%	71%	71%	70%
o/w Biedronka	70%	70%	69%	69%	68%
% Portugal	19%	19%	19%	18%	18%
% Colombia	9%	9%	11%	11%	12%

Exhibit 24: MSe vs Cssus. Note: MS underlying EPS treats the Foundation payment and Employee bonus awards as underlying; therefore the figure is likely not comparable vs Consensus definition of underlying diluted EPS

Jerónimo Martins (EUR mn)	New			VA Cssus			MS est vs Cssus		
	2026e	2027e	2028e	FY-2026	FY-2027	FY-2028	FY-2026	FY-2027	FY-2028
P&L									
Poland	26,940	28,178	29,493	27,451	29,287	31,318	-1.9%	-3.8%	-5.8%
Biedronka	26,292	27,490	28,764	26,792	28,585	30,574	-1.9%	-3.8%	-5.9%
Hebe	648	687	730	659	702	744	-1.6%	-2.1%	-2.0%
Portugal	7,120	7,334	7,548	7,039	7,268	7,468	1.2%	0.9%	1.1%
Pingo Doce	5,679	5,854	6,039	5,593	5,789	5,959	1.5%	1.1%	1.3%
Recheio	1,442	1,480	1,509	1,446	1,479	1,509	-0.3%	0.0%	0.0%
Colombia	4,012	4,352	4,899	3,837	4,403	5,004	4.6%	-1.1%	-2.1%
Total Revenue	38,141	39,948	42,039	38,245	40,774	43,497	-0.3%	-2.0%	-3.4%
EBITDA (u/lying)	2,632	2,793	2,971	2,644	2,861	3,072	-0.5%	-2.4%	-3.3%
EBITDA margin	6.9%	7.0%	7.1%	6.9%	7.0%	7.1%	-1bp	-2bp	0bp
Biedronka EBITDA (u/lying)	2,084	2,203	2,325	2,121	2,298	2,484	-1.7%	-4.1%	-6.4%
Biedronka EBITDA margin	7.9%	8.0%	8.1%	7.9%	8.0%	8.1%	1bp	-3bp	-4bp
D&A	-1,241	-1,321	-1,401	-1,231	-1,325	-1,420	0.8%	-0.3%	-1.3%
Op. profit (u/lying)	1,392	1,473	1,570	1,414	1,536	1,652	-1.6%	-4.1%	-5.0%
Finance costs (u/lying)	-363	-369	-374	-364	-367	n/m	-0.3%	0.7%	n/m
PBT (u/lying)	1,027	1,102	1,194	1,051	1,169	n/m	-2.3%	-5.7%	n/m
JMT foundation / employee bonus	-69	-71	-72						
Minorities & Other	-11	-11	-11	-10	-12	-13			
Adjusted net income for EPS	707	762	830	n/m	n/m	n/m	n/m	n/m	n/m
Adj net income ex Bonus/Foundation	761	817	886	788	870	n/m	-3.4%	-6.0%	n/m
PBT	904	978	1,067	964	1,088	1,062	-6.2%	-10.1%	0.4%
Net profit	667	723	789	716	809	792	-6.9%	-10.7%	-0.3%
Share Metrics (per share)									
Statutory basic EPS	1.06	1.15	1.25	1.12	1.26	n/m	-5.1%	-8.7%	n/m
Underlying diluted EPS	1.12	1.21	1.32	1.36	1.54	1.70	-17.5%	-21.3%	-22.4%

Source: Morgan Stanley Research estimates, Visible Alpha Consensus

Zabka - Equal-weight

Exhibit 25: Summary of our forecasts 2024-28e

Zabka Group						Analyst: Izabel Dobрева (izabel.dobрева@ms.com)						Last close 27.2	
Income Statement (PLN mn)						Per share data							
	2024	2025	2026e	2027e	2028e		2024	2025	2026e	2027e	2028e		
Sales to end Customers	27,277	31,135	35,203	39,398	43,977	EPS dil. reported (PLN)	0.62	1.10	1.14	1.40	1.69		
YoY change	19.8%	14.1%	13.1%	11.9%	11.6%	MSe EPS (PLN)	0.72	1.03	1.20	1.46	1.69		
o/w LfL	8.3%	5.3%	4.7%	5.1%	4.4%	DPS (PLN)	0.00	0.52	0.73	0.88	1.02		
o/w Space	9.0%	7.8%	7.7%	6.2%	6.4%	Payout ratio (% u/lying EPS)	0%	50%	60%	60%	60%		
o/w DCO y/y	32%	25%	20%	15%	15%	Retail FCF (PLN) - MSe	0.72	0.80	0.86	1.08	1.22		
Franchise margin %	16.7%	17.0%	17.0%	16.9%	17.1%	Wtd. Shares outstanding (mn) - fully di	1,000	1,002	1,017	1,021	1,030		
Franchise margin	-4,373	-5,040	-5,645	-6,274	-7,038	Valuation Metrics							
YoY change	18.9%	15.3%	12.0%	11.1%	12.2%		2024	2025	2026e	2027e	2028e		
Revenue	23,797	27,153	30,748	34,447	38,406	P/E	38.0x	26.4x	22.7x	18.6x	16.1x		
YoY change	20.2%	14.1%	13.2%	12.0%	11.5%	P/BV	19.6x	11.1x	8.6x	7.0x	5.8x		
Cost of sales	-19,406	-22,053	-24,966	-27,921	-31,145	FCF Yield	2.7%	3.0%	3.3%	4.2%	4.7%		
Gross profit (reported)	4,391	5,100	5,781	6,525	7,261	Dividend yield	0.0%	1.9%	2.7%	3.3%	3.8%		
YoY change	24.3%	16.1%	13.4%	12.9%	11.3%	Profitability Ratios							
Operating expenses	-1,028	-1,224	-1,393	-1,526	-1,595		2024	2025	2026e	2027e	2028e		
YoY change	29.6%	19.1%	13.8%	9.6%	4.5%	Adj. Net Inc (Co. definition) margin	2.6%	3.2%	3.4%	3.8%	4.0%		
EBITDA (reported)	3,363	3,876	4,389	4,999	5,666	Return on Revenues (MSe net inc)	2.6%	3.3%	3.5%	3.8%	4.0%		
YoY change	22.7%	15.3%	13.2%	13.9%	13.3%	o/w Gross margin - MSe	28.9%	29.2%	29.1%	29.1%	29.2%		
D&A	-1,704	-1,890	-2,125	-2,394	-2,669	o/w EBITDA margin	12.3%	12.4%	12.5%	12.7%	12.9%		
EBIT	1,659	1,986	2,264	2,605	2,997	o/w EBIT margin	6.1%	6.4%	6.4%	6.6%	6.8%		
YoY change	20%	20%	14%	15%	15%	ROIC (NOPAT u/lying)	48%	68%	55%	56%	57%		
Finance expense	-856	-880	-841	-858	-880	ROCE Gross (EBITDA)	25.1%	25.9%	26.5%	27.1%	27.7%		
PBT	804	1,106	1,423	1,747	2,117	ROA (net profit u/lying)	4.3%	5.6%	6.0%	6.7%	7.2%		
Net profit (MSe)	716	1,032	1,219	1,489	1,738	ROE (net profit, u/lying)	63%	53%	43%	41%	39%		
Net profit (statutory)	624	1,102	1,155	1,425	1,738	Retail OCF % Retail EBITDA	85%	84%	82%	82%	81%		
Net profit (adj. Company definition)	714	1,003	1,184	1,493	1,742	Retail free cash flow % Sales	2.7%	2.6%	2.5%	2.8%	2.8%		
Balance sheet (PLN mn)						Balance Sheet Gearing							
	2024	2025	2026e	2027e	2028e		2024	2025	2026e	2027e	2028e		
Fixed assets	3,940	4,438	4,919	5,385	5,892	Net debt / Adjusted EBITDA - Co.	2.5x	2.1x	1.9x	1.6x	1.4x		
Intangible assets	4,587	4,711	4,862	5,030	5,218	Net debt / reported EBITDA - MSe	2.7x	2.3x	2.0x	1.7x	1.5x		
Right of use assets	4,527	4,899	5,202	5,404	5,599	Financial net debt / EBITDA	1.1x	0.8x	0.6x	0.5x	0.3x		
Inventories	1,092	1,150	1,302	1,456	1,624	Fixed charge cover	1.0x	1.2x	1.3x	1.4x	1.5x		
Receivables	2,277	2,794	3,159	3,535	3,946	Interest rate on net debt	9.6%	7.9%	6.9%	6.7%	6.7%		
Cash	750	1,079	1,439	1,814	2,173	Short term debt, % Debt	11.6%	12.4%	12.6%	12.7%	12.7%		
Total assets	17,569	19,514	21,321	23,064	24,894	Net finance costs as % sales	3.1%	2.8%	2.4%	2.2%	2.0%		
Borrowings	4,549	4,148	4,148	4,148	4,148	Tax rate	26%	4%	22%	21%	20%		
Lease liabilities	4,855	5,301	5,651	5,905	6,140	Reverse factoring % Payables	47%	50%	48%	46%	44%		
Payables	5,871	6,631	7,356	8,054	8,789	Non-tax deductible debt as % debt	37%	0%	0%	0%	0%		
Total liabilities	16,180	17,020	18,148	19,156	20,186	Store metrics							
Shareholders' equity	1,389	2,494	3,218	3,997	4,842		2024	2025	2026e	2027e	2028e		
Net (Debt)/Cash - MS definition	-8,654	-8,370	-8,359	-8,239	-8,114	No. stores	11,069	12,339	13,582	14,840	16,227		
Net (Debt)/Cash ex leases - MSe	-3,799	-3,069	-2,708	-2,334	-1,974	New stores pa	1,166	1,394	1,340	1,350	1,459		
Working Capital	-2,501	-2,687	-2,895	-3,063	-3,219	Selling space (sq m 000s)	701	781	860	939	1,027		
Trade working capital - Co. definition	-2,278	-2,464	-2,672	-2,840	-2,996	Avg. store size (sq m)	63.3	63.3	63.3	63.3	63.3		
Cash flow statement (PLN mn)						Sales per sq m	41,170	42,024	42,909	43,796	44,724		
	2024	2025	2026e	2027e	2028e	Capex % Sales (ex ROU)	6.1%	5.2%	4.9%	4.7%	4.6%		
Cash from operations	2,858	3,246	3,581	4,082	4,577	Revenue mix							
Capex	-1,675	-1,624	-1,733	-1,858	-2,040		2024	2025	2026e	2027e	2028e		
Retail free cash flow - MSe	725	805	871	1,106	1,253	% Franchise Poland	95.9%	95.1%	94.5%	94.0%	93.4%		
Free cash flow - Co. definition	1,531	1,740	1,640	1,923	2,130	% Digital customer offering	2.3%	2.5%	2.6%	2.7%	2.8%		
Change in cash (retail)	100	329	360	374	360	% Romania	1.8%	2.4%	2.8%	3.3%	3.8%		

Source: Company data, Morgan Stanley Research estimates

Exhibit 26: MSe vs Csus 2026-28e

Zabka	New			Bloomberg Csus			MSe vs Csus		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
LfL	4.7%	5.1%	4.4%	5.3%	5.3%	4.9%	-53bp	-19bp	-44bp
Sales to end customers	35,203	39,398	43,977	35,498	39,986	44,631	-0.8%	-1.5%	-1.5%
Franchisee margin	16.0%	15.9%	16.0%						
Revenue	30,748	34,447	38,406	31,119	35,044	39,182	-1.2%	-1.7%	-2.0%
EBITDA reported	4,389	4,999	5,666	4,552	5,192	5,816	-3.6%	-3.7%	-2.6%
EBITDA underlying	4,480	5,090	5,671	4,552	5,192	5,816	-1.6%	-2.0%	-2.5%
Adj EBITDA margin	12.7%	12.9%	12.9%	12.8%	13.0%	13.0%	-10bp	-6bp	-13bp
D&A	-2,125	-2,394	-2,669	-2,185	-2,393	-2,621	-2.7%	0.0%	1.9%
EBIT reported	2,264	2,605	2,997	2,368	2,799	3,195	-4.4%	-6.9%	-6.2%
EBIT underlying	2,355	2,696	3,002	2,368	2,799	3,195	-0.5%	-3.7%	-6.0%
Finance costs	-841	-858	-880	-879	-892	-913	-4.4%	-3.9%	-3.6%
PBT reported	1,423	1,747	2,117	1,489	1,906	2,282	-4.4%	-8.3%	-7.2%
PBT underlying	1,514	1,838	2,122	1,489	1,906	2,282	1.7%	-3.6%	-7.0%
Attributable Net profit reported	1,155	1,425	1,738	1,157	1,507	1,837	-0.2%	-5.5%	-5.4%
MS definition - adj net profit	1,219	1,489	1,738						
EPS - Adjusted	1.20	1.46	1.69	1.20	1.55	1.83	0.1%	-5.7%	-7.7%
EPS - Reported	1.14	1.40	1.69	1.15	1.49	1.76	-1.5%	-6.0%	-3.9%

Source: Bloomberg Consensus, Morgan Stanley Research estimates

Valuation

We use 50/50 10yr DCF / 12m P/E based approach for all of our valuations. Our valuations across our base/bull/bear scenarios can be summarised as the following for the 3yr explicit forecasts; for full details on our DCF see the risk-reward page per stock.

Jerónimo Martins: Underweight

- Base case: ~5.3% sales CAGR 2025-28e, exit EBIT margin of 3.4% 2028e, drives ~6% EPS CAGR. 12m price target: €15.50, implies ~12.5x 12m fwd P/E from the valuation date and ~8% downside.
- Bull case: ~7.1% sales CAGR 2025-28e, exit EBIT margin of 4.0% 2028e, drives ~15% EPS CAGR. Valuation of €29.20, implies ~19.5x 12m fwd P/E and ~74% upside.
- Bear case: ~3.9% sales CAGR 2025-28e, exit EBIT margin of 2.8% 2028e, drives -6% EPS CAGR. Valuation of €10.20, implies ~10.5x 12m P/E and ~40% downside.

Dino Polska: Underweight

- Base case: ~14% sales CAGR 2025-28e, exit EBIT margin of 5.2% 2028e, drives ~9% EPS CAGR. 12m price target: PLN 23.40, implies ~12.4x 12m fwd P/E from the valuation date and ~18% downside.
- Bull case: ~18% sales CAGR 2025-28e, exit EBIT margin of 6.3% 2028e, drives ~21% EPS CAGR. Valuation of PLN 47.50, implies ~20x 12m fwd P/E and ~67% upside.
- Bear case: ~9% sales CAGR 2025-28e, exit EBIT margin of 3.6% 2028e, drives -9% EPS CAGR. Valuation of PLN 13.30, implies ~10.4x 12m P/E and ~53% downside.

Zabka: Equal-weight

- Base case: ~12% sales CAGR 2025-28e, exit EBIT margin of 6.8% 2028e, drives ~18% EPS CAGR. 12m price target: PLN 28.60, implies ~19x 12m fwd P/E from the valuation date and ~5% upside.
- Bull case: ~15% sales CAGR 2025-28e, exit EBIT margin of 7.7% 2028e, drives ~29% EPS CAGR. Valuation of PLN 46.00, implies ~26.5x 12m fwd P/E and ~70% upside.
- Bear case: ~8% sales CAGR 2025-28e, exit EBIT margin of 5.1% 2028e, drives -3% EPS CAGR. Valuation of PLN 12.10, implies ~12.8x 12m P/E and ~55% downside.

Exhibit 27: Trading comps overview**PE: 12m fwd Consensus PE**

PE	JMT	DNP	ALE	PEP	EUR	LPP	TSCO	SBRY	AD	CA
20yr avg	19.3x	--	--	--	19.1x	21.3x	11.5x	13.2x	11.9x	12.0x
10yr avg	19.6x	--	--	--	18.9x	22.5x	12.5x	12.0x	12.7x	10.8x
5yr avg	18.6x	23.6x	23.9x	54.3x	17.7x	16.8x	12.7x	12.1x	12.1x	8.8x
1yr avg	16.3x	19.0x	15.7x	59.5x	11.6x	14.7x	14.7x	13.1x	13.0x	8.3x
Spot	13.1x	14.6x	17.1x	57.1x	29.5x	12.2x	14.4x	13.0x	12.2x	9.0x

Spot vs. History

20yr avg	-32%	--	--	--	54%	-43%	25%	-2%	3%	-25%
10yr avg	-33%	--	--	--	56%	-46%	16%	8%	-4%	-17%
5yr avg	-30%	-38%	-28%	5%	67%	-27%	13%	8%	0%	2%
1yr avg	-20%	-23%	9%	-4%	154%	-17%	-2%	-1%	-7%	8%

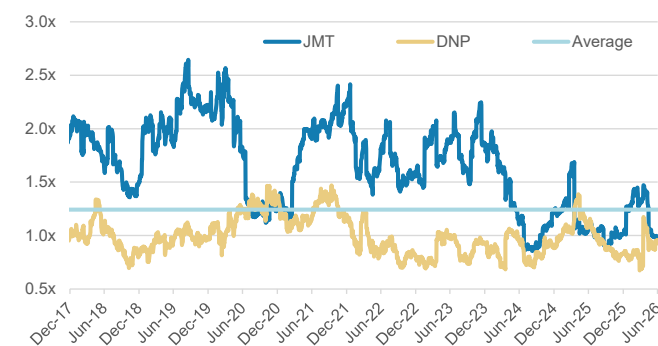
PEG: 12m fwd Cmsus PE / 2yr EPS CAGR

PEG	JMT	DNP	ALE	PEP	EUR	LPP	TSCO	SBRY	AD	CA
20yr avg	1.5x	--	--	--	0.9x	1.0x	1.2x	1.8x	1.5x	1.0x
10yr avg	1.7x	--	--	--	0.8x	1.2x	1.3x	2.0x	2.0x	0.9x
5yr avg	1.5x	0.9x	0.9x	2.2x	0.4x	1.0x	1.7x	1.8x	1.9x	0.7x
1yr avg	1.1x	0.9x	0.7x	2.3x	0.3x	1.2x	1.5x	1.1x	1.8x	0.9x
Spot	0.9x	0.9x	0.8x	3.8x	--	1.3x	1.7x	1.2x	1.6x	1.2x

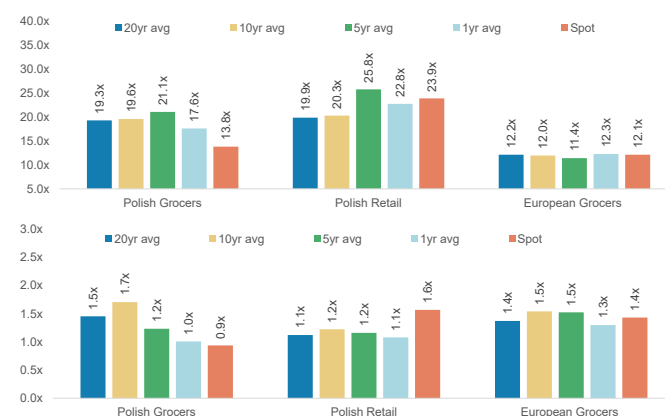
Spot vs. History

Spot vs. History										
20yr avg	-35%	--	--	--	--	33%	42%	-31%	7%	19%
10yr avg	-44%	--	--	--	--	14%	35%	-41%	-17%	31%
5yr avg	-37%	-2%	-12%	76%	--	33%	0%	-32%	-15%	68%
1yr avg	-15%	3%	16%	65%	--	14%	15%	13%	-7%	32%

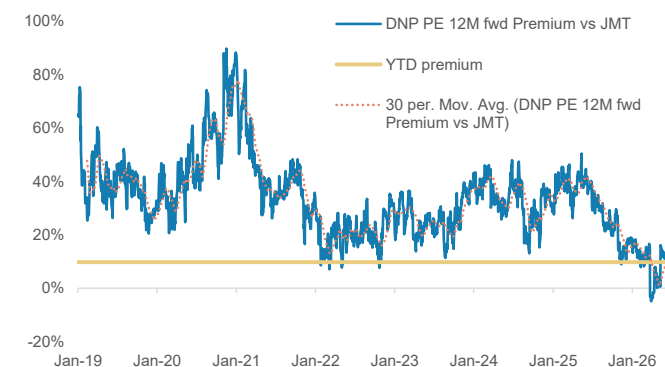
Source: Datastream, Morgan Stanley Research.

Exhibit 29: 12m fwd PEG ratio - long term history

Source: Reuters, Morgan Stanley Research

Exhibit 28: 1-1.5x PEG tends to be consistent with long term valuations in Poland

Source: Reuters, Morgan Stanley Research

Exhibit 30: DNP 12m PE vs JMT - long term history

Source: Reuters, Morgan Stanley Research

Risk Reward – Dino Polska SA (DNP.WA)

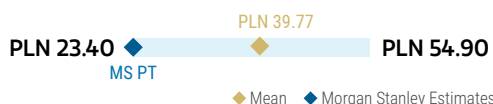
Store rollout comes at margin expense in maturing market

PRICE TARGET PLN 23.40

We derive our target price using a blended approach of 1) DCF, assuming a terminal growth rate of 3%, a terminal operating profit margin of 5.2%, and a WACC of 9.8%, and 2) a target PE of ~12x, a mixture of our view on the normalized earnings growth of the business and competitive positioning.

Consensus Price Target Distribution

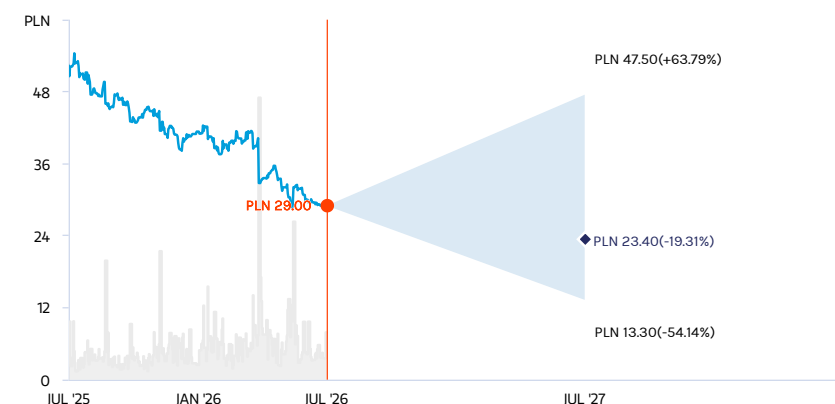
Source: Refinitiv, Morgan Stanley Research



UNDERWEIGHT THESIS

- The Polish market is undergoing structural transition - the supply is exceeding demand and margins need to find a new equilibrium
- Consensus expectations are too high, factoring in both ambitious space expansion and margin stability
- Given new slower growth prospects, we think the multiple will also likely de-rate from here

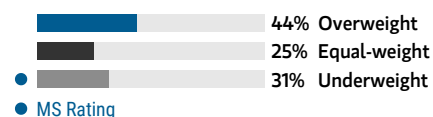
RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Contrarian: *Negative*
Disruption: *Negative*
Pricing Power: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

PLN 47.50

Faster for longer

2027-2037e revenue CAGR of 12%, with a long-term EBIT margin of 6.5%. We assume a terminal growth rate of 4.0%. Implied 12m fwd PE is ~20x at valuation

BASE CASE

PLN 23.40

Space growth at expense of margins

2027-2037e revenue CAGR of 9%, with a long-term EBIT margin of 5.2%. We assume a terminal growth rate of 3.0%. Implied 12m fwd PE is ~12.4x at valuation

BEAR CASE

PLN 13.30

Maturity leads to slowdown

2027-2037e revenue CAGR of 6%, with a long-term EBIT margin of 4.0%. We assume a terminal growth rate of 2.0%. Implied 12m fwd PE is ~10.4x at valuation

Risk Reward – Dino Polska SA (DNP.WA)

KEY EARNINGS INPUTS

Drivers	NA 2025	NA 2026e	NA 2027e	NA 2028e
LFL sales growth (%)	4.4	3.3	4.8	4.9
Net selling space growth (sqm) (%)	13.3	13.1	13.8	12.2
Sales density growth (%)	1.4	(0.1)	0.6	1.5
Gross margin (%)	33.8	33.4	33.3	33.3
EBITDA margin (%)	7.6	7.2	7.1	7.0

INVESTMENT DRIVERS

- We believe the key driver of the investment case is the rate of expansion driving revenue and EBITDA growth
- Inflation at low to mid single digits is supportive of the business

GLOBAL REVENUE EXPOSURE



● 100% Europe ex UK

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5
MOST
3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- More scale translates into better supplier terms and gross margins
- Better LFL growth than expected
- Better competitive environment leading to an end of the price war

RISKS TO DOWNSIDE

- A more aggressive response from competitors than expected
- Weaker than expected execution on store roll out
- Weaker volume backdrop in the Polish market
- Macro / geopolitical risk

OWNERSHIP POSITIONING

HF Sector Long/Short Ratio	1%	
HF Sector Net Exposure	0.2x	

Source: Morgan Stanley Prime Brokerage. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY 2027e

Sales / Revenue
(PLN, mn)
43,482 ◆ 45,007 ◆ 47,802

EBITDA
(PLN, mn)
3,008 ◆ 3,070 ◆ 3,411 ◆ 4,014

EPS
(PLN)
1.84 ◆ 2.11 ◆ 2.60

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Dino Polska SA (DNP.WA)

SUSTAINABILITY AND ESG

Our ESG R/R tile includes data from FactSet, as well as, data from our proprietary HER score and Sustainable Solutions Interactive tool.

FactSet, a third party vendor, developed FactSet's SFDR Principal Adverse Impacts (PAI) data specifically to support compliant Sustainable Finance Disclosure Regulation (SFDR) reporting. FactSet collects PAI metrics from publicly available company disclosures, then standardizes the company-reported information to allow for easy comparison across companies. Specifically, FactSet converts nonconforming data points to standardized units as required by SFDR, like gigawatt hours, metric tons of CO₂e, Tons and anti-corruption fines paid in EUR.

The **Holistic Equal Representation (HER) score**, a Morgan Stanley Research proprietary framework, systematically ranks companies on their level of gender diversity representation: the percentage of women who are (1) board members, (2) executives, (3) managers, and (4) employees. For each metric of representation, we calculated monthly region and sector (cohort) neutral z-scores which were then combined at an equal weight (25% each) to formulate HER Score. By using z-scored values, we are able to identify companies that are above or below their cohort mean. If any of the 4 metrics are missing for a company, the z-score for that metric is set to 0. Companies that rank the highest within their cohort will have the largest z-score and the those that rank the lowest will have the smallest (i.e. negative) z-score. Companies with the highest (lowest) z-scores across all 4 metrics will have the highest (lowest) HER Score. In Japan, we z-scored the equal weighted average of the raw metrics of representation by sector. We show which tertile each company is in for workforce gender diversity, relative to their regional sector peers.

Sustainable Solutions Interactive Tool, a Morgan Stanley Research proprietary tool, maps historical and projected revenue and capex exposure of stocks to sustainability themes. These sustainability themes include: Climate Change, Resource Management, Health & Wellbeing, Safety & Security, and Inclusion.

ALL METRICS OVER TIME

Environment	Unit	Dec' 23	Dec' 24	Dec' 25
Total GHG emissions	Metric ton CO ₂ e	244,924	6,404,850	7,323,236
Total GHG emissions/ Enterprise value (EV)	Metric ton per EUR million EV	22.47	671.13	711.28
Total amount of hazardous waste generated (including radioactive waste, if reported)	Tonnes	-	0.35	-
Governance				
Average Tenure of Board	Number	15.10	12.56	12.56
Board Independent Directors	Percentage	25	40	40
Board gender diversity	Ratio	0:5	0:5	0:5

Source: FactSet, Morgan Stanley Research

Risk Reward – Jeronimo Martins SGPS SA (JMT.LS)

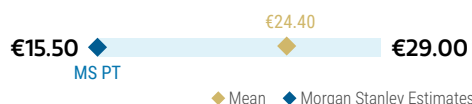
Exposed to oversupplied end market

PRICE TARGET €15.50

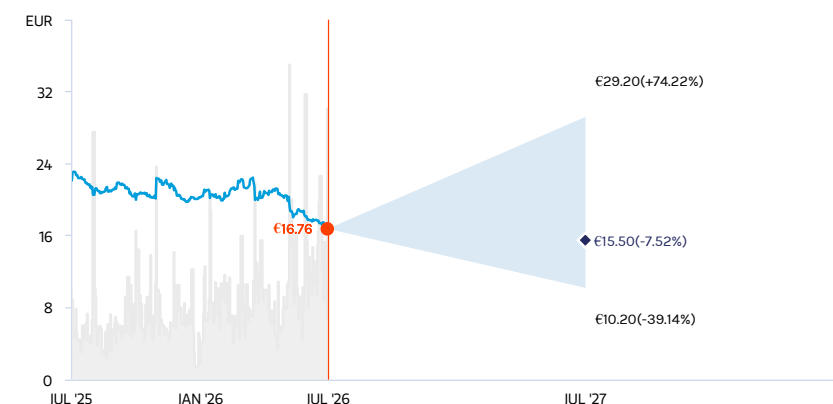
We derive our target price using a blended approach of 1) DCF, assuming a terminal growth rate of 2%, a terminal operating profit margin of 3.5%, and a WACC of 8.8%, and 2) a target PE of ~12x, a mixture of our view on the normalized earnings growth of the business and competitive positioning.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



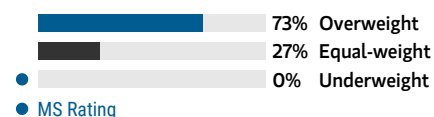
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

- JMT has a strong track record of execution, but we think the Polish food retail market is oversupplied
- We think the market is fundamentally misunderstanding where Polish food retail sits on the maturity curve
- We expect fierce competition to continue, with Biedronka maintaining price leadership, which poses downside risk to Consensus LfL and profit expectations for Poland
- Our estimates are ~7% below Cms by 2028e for Biedronka as a result

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Contrarian: *Negative*
Pricing Power: *Negative*
Secular Growth: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

€29.20

Faster growth, op. leverage

2027-2037e revenue CAGR of 5.6%, with a long-term EBIT margin of 4.0%. We assume a terminal growth rate of 3.0%. Implied 12m fwd PE is ~19.5x at valuation.

BASE CASE

€15.50

Structural transition

2027-2037e revenue CAGR of 4.1%, with a long-term EBIT margin of 3.5%. We assume a terminal growth rate of 2.0%. Implied 12m fwd PE is ~12.5x at valuation

BEAR CASE

€10.20

Weaker core delivery

2027-2037e revenue CAGR of 2.8%, with a long-term EBIT margin of 3.0%. We assume a terminal growth rate of 1.0%. Implied 12m fwd PE is ~10.5x at valuation.

Risk Reward – Jeronimo Martins SGPS SA (JMT.LS)

KEY EARNINGS INPUTS

Drivers	NA 2025	NA 2026e	NA 2027e	NA 2028e
Net sales (€, mn)	35,991	38,141	39,948	42,039
Net Sales YoY growth (%)	7.6	6.0	4.7	5.2
EBITDA Margin (%)	6.9	6.9	7.0	7.1
EBIT Margin (%)	3.7	3.6	3.7	3.7
EBIT (€, mn)	1,338	1,392	1,473	1,570

INVESTMENT DRIVERS

- Market growth and competition in Poland
- Sustainability of turnaround, and scope for further margin improvement in Colombia
- Inflation across the footprint

GLOBAL REVENUE EXPOSURE



- 0-10% Latin America
- 90-100% Europe ex UK

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Poland top-line growth accelerates on stronger volumes
- Better traction and faster roll-out of new format stores
- Better than expected cost control
- Better than expected competitive environment in Poland

RISKS TO DOWNSIDE

- Lower food volume growth than we assume
- Competition leading to heavier investment in growth, leading to weaker margins due to price competition
- Macro / geopolitical events

OWNERSHIP POSITIONING

HF Sector Long/Short Ratio 1%

HF Sector Net Exposure 0.2x

Source: Morgan Stanley Prime Brokerage. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY 2026e

Sales / Revenue (€, mn) 37,571 38,141
38,330 38,614

EBITDA (€, mn) 2,516 2,632
2,633 2,704

EPS (€) 0.98 1.12
1.20 1.31

ROE (%) 18.1 23.6
22.1 31.4

DPS (€) 0.64 0.65
0.68 0.78

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Jeronimo Martins SGPS SA (JMT.LS)

SUSTAINABILITY AND ESG

Our ESG R/R tile includes data from FactSet, as well as, data from our proprietary HER score and Sustainable Solutions Interactive tool.

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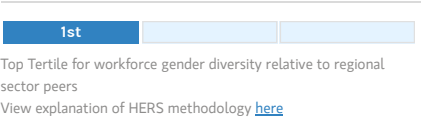
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ALL METRICS OVER TIME

Environment	Unit	Dec' 23	Dec' 24	Dec' 25
Total GHG emissions	Metric ton CO2 e	33,508,230	33,546,396	31,009,473
Total GHG emissions/ Enterprise value (EV)	Metric ton per EUR million EV	1,775	2,002	1,672
Total amount of hazardous waste generated (including radioactive waste, if reported)	Tonnes	387	433	576
Governance				
Average Tenure of Board	Number	9.48	9.48	5.33
Board Independent Directors	Percentage	60	60	30
Board gender diversity	Ratio	4:7	4:7	4:7

Source: FactSet, Morgan Stanley Research

HERS VS. SECTOR PEERS



Risk Reward – Zabka Group (ZAB.WA)

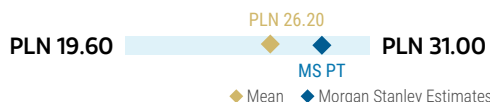
Growth opportunities, high execution bar

PRICE TARGET PLN 28.60

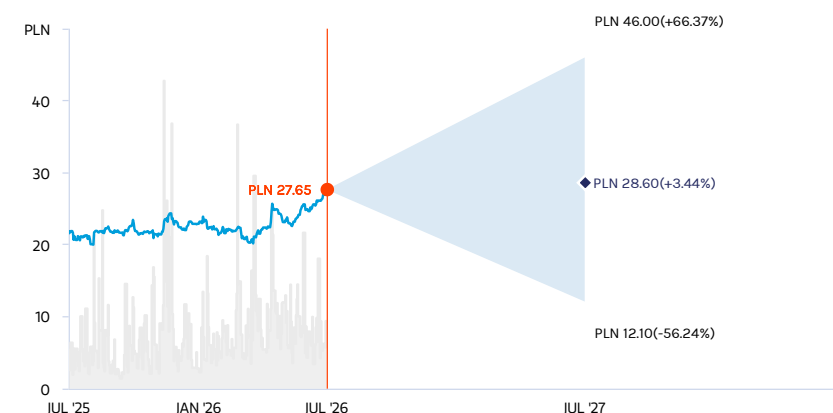
We derive our target price using a blended approach of 1) DCF, assuming a terminal growth rate of 3%, a terminal operating profit margin of 6.8%, and a WACC of 9.3%, and 2) a target PE of ~19.4x, a mixture of our view on the normalized earnings growth of the business, balance sheet risks and liquidity considerations.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



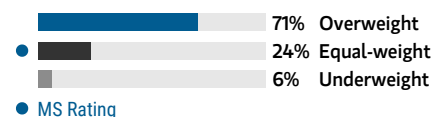
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- Zabka mix is more insulated from the ongoing space/price war vs other listed Polish food retailers and has exposure to faster growing convenience/ digital channels
- At the same time, Cissus expectations leave a very high bar to clear from an execution standpoint and we see risks tilted to the downside
- Debt restructuring is a key positive but reverse factoring exposures remain higher vs peers, and Romania roll-out caps margin upside

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Contrarian: *Negative*
Pricing Power: *Negative*
Special Situation: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

PLN 46.00

Faster growth, op. leverage

2027-2037e revenue CAGR of 11%, with a long-term EBIT margin of 7.7%. We assume a terminal growth rate of 3.5%. Implied 12m fwd PE is ~26.5x at valuation.

BASE CASE

PLN 28.60

Growth opportunities

2027-2037e revenue CAGR of 8.3%, with a long-term EBIT margin of 6.8%. We assume a terminal growth rate of 3%. Implied 12m fwd PE is ~19x at valuation.

BEAR CASE

PLN 12.10

Weaker core delivery

2027-2037e revenue CAGR of 5.4%, with a long-term EBIT margin of 4.5%. We assume a terminal growth rate of 2.5%. Implied 12m fwd PE is ~13x at valuation.

Risk Reward – Zabka Group (ZAB.WA)

KEY EARNINGS INPUTS

Drivers	NA 2025	NA 2026e	NA 2027e	NA 2028e
Sales growth (%)	14.1	13.1	11.9	11.6
Selling space growth (%)	11.5	10.1	9.3	9.3
Gross margin (%)	16.4	16.4	16.6	16.5
EBITDA margin (%)	13.1	12.7	12.9	12.9

INVESTMENT DRIVERS

- Market growth and competition in Poland
- Delivery on mid term targets: store expansion, QSR rollout, digital growth and expansion into Romania
- Pace of opex increase vs topline growth

GLOBAL REVENUE EXPOSURE



● 100% Europe ex UK

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5
MOST
3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Polish consumer recovery stronger than expected
- Digital offer uptake is stronger than targeted
- Better than expected cost savings / franchise margin control

RISKS TO DOWNSIDE

- Consumer recovery is slower than expected
- Space expansion slower / less profitable than expected
- Difficulties in franchise recruitment weighing on space/ margins
- Regulation changes to franchise model

OWNERSHIP POSITIONING

HF Sector Long/Short Ratio 1%

HF Sector Net Exposure 0.2x

Source: Morgan Stanley Prime Brokerage. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY 2026e

Sales / Revenue
(PLN, mn) 30,434 35,203

EBITDA
(PLN, mn) 4,384 4,712

EPS
(PLN) 1.14 1.36

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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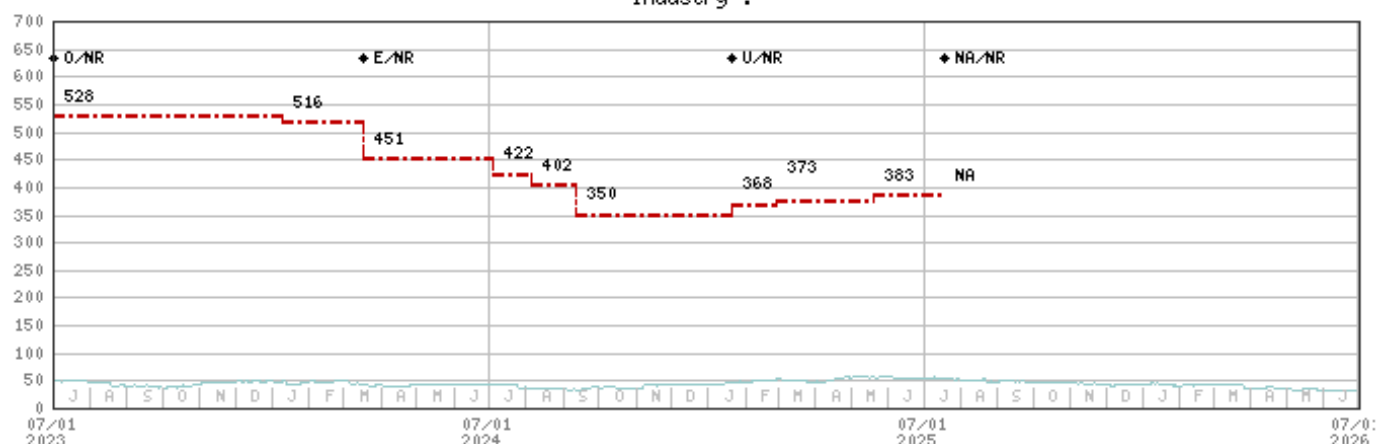
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Stock Price, Price Target and Rating History (See Rating Definitions)

Dino Polska SA (DNP.WA) - As of 07/01/26 GMT in PLN
Industry :



Stock Rating History: 7/1/21 : E/NR; 6/28/22 : O/NR; 3/18/24 : E/NR; 1/21/25 : U/NR; 7/18/25 : NA/NR

Price Target History: 5/10/21 : 288; 11/8/21 : 316; 3/11/22 : 281; 5/6/22 : 284; 6/28/22 : 342; 9/8/22 : 366; 11/7/22 : 380; 11/18/22 : 392; 3/30/23 : 453; 5/5/23 : 451; 6/30/23 : 528; 1/9/24 : 516; 3/18/24 : 451; 7/4/24 : 422; 8/6/24 : 402; 9/12/24 : 350; 1/21/25 : 368; 2/28/25 : 373; 5/20/25 : 383; 7/18/25 : NA

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Jeronimo Martins SGPS SA (JMT.LS) - As of 07/01/26 GMT in EUR
Industry :



Stock Rating History: 7/1/21 : E/NR; 6/24/22 : NA/NR; 11/18/22 : E/NR; 2/2/24 : O/NR; 7/18/25 : NA/NR

Price Target History: 3/17/21 : 14.9; 7/15/21 : 15.5; 7/30/21 : 16.5; 12/2/21 : 18; 3/10/22 : 18.1; 6/24/22 : NA; 11/18/22 : 21.8; 3/30/23 : 22.5; 5/3/23 : 23; 6/30/23 : 25.6; 7/28/23 : 26.6; 1/9/24 : 24.1; 2/2/24 : 25.3; 3/18/24 : 23.5; 4/18/24 : 22; 7/4/24 : 22.5; 8/6/24 : 20; 1/21/25 : 22.5; 5/8/25 : 24.9; 7/18/25 : NA

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Retailing - Food

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/01/2026)
Izabel Dobрева		
Carrefour (CARR.PA)	O (06/22/2026)	€15.70
Dino Polska SA (DNP.WA)	U (06/16/2026)	PLN 29.00
Jeronimo Martins SGPS SA (JMT.LS)	U (06/16/2026)	€16.76

J Sainsbury PLC (SBRY.L)	E (05/18/2026)	331p
Koninklijke Ahold Delhaize NV (AD.AS)	U (06/08/2026)	€35.16
Marks and Spencer Group PLC (MKS.L)	O (05/18/2026)	376p
Tesco PLC (TSCO.L)	O (05/18/2026)	459p
Zabka Group (ZAB.WA)	E (06/16/2026)	PLN 27.65

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